Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
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RESOLUTION NO. 08, SERIES OF 2021

A RESOLUTION ADOPTING THE RULES FOR THE GREEN ENERGY OPTION PROGRAM (GEOP)

WHEREAS, Section 2 of Republic Act No. 9136, entitled "An Act Ordaining Reforms in the Electric Power Industry, Amending for the Purpose Certain Laws and for Other Purposes," otherwise known as the "Electric Power Industry Reform Act of 2001" (EPIRA), declares that it is the policy of the state to ensure socially and environmentally compatible energy resources and infrastructure, and promote the utilization of indigenous, new and Renewable Energy (RE) resources in the power generation in order to reduce dependence on imported energy;

WHEREAS, in addition thereto, Section 2 of Republic Act No. 9513, entitled "An Act Promoting the Development, Utilization, and Commercialization of Renewable Energy Resources and for Other Purposes," otherwise known as the "Renewable Energy Act of 2008" (RE Act), declares that it is the policy of the state to increase the utilization of RE by institutionalizing the development of national and local capabilities in the use of RE Systems, and promoting its efficient and cost-effective commercial application by providing fiscal and non-fiscal incentives;

WHEREAS, Section 9 of the RE Act mandates the establishment of a Green Energy Option Program (GEOP) which provides end-users the option to choose RE resources as their sources of energy;

WHEREAS, the GEOP will allow stakeholders in the electric power industry to contribute to the development and utilization of clean energy, particularly, renewable energy in the country;

WHEREAS, Section 6, Rule II of the Implementing Rules and Regulations (IRR) of the RE Act mandates the Energy Regulatory Commission (ERC) to issue the necessary regulatory framework to operationalize the GEOP;

WHEREAS, on 18 July 2018, the Department of Energy (DOE) issued Department Circular No. 2018-07-0019 entitled "Promulgating the Rules and Guidelines Governing the establishment of the Green Energy Option Program Pursuant to the Renewable Energy Act of 2008" (DC 2018-07-0019);

WHEREAS, Section 15(e) of DC 2018-07-0019 provides that the ERC shall issue the necessary regulatory framework particularly in setting the technical and interconnection standards and wheeling fees, to achieve the objectives of the GEOP;

WHEREAS, on 23 November 2020, the Commission approved, for posting on its official website www.erc.gov.ph, the draft "*Resolution Adopting the Green Energy Option Program (GEOP) Rules,*" together with its annexes under ERC Case No. 2020-005 RM;

WHEREAS, on 24 November 2020, the Commission issued a *Notice* directing all interested parties to submit their comments on the draft GEOP Rules on or before 03 December 2020, and setting the virtual public consultations on 7 & 8 December 2020 via MS Teams or Zoom;

WHEREAS, in view of the declaration of 08 December 2020 as a special non-working holiday pursuant to Republic Act 10966 to commemorate the "Feast of the Immaculate Conception of Mary, the principal patroness of the Philippines," the Commission issued a Supplemental Notice on 03 December 2020 , setting the new dates for virtual public consultations on 7 & 9 December 2020 via MS Teams or Zoom;

WHEREAS, in response to the Notice dated 24 November 2020, the following stakeholders submitted their comments on the proposed Rules: (1) Aboitiz Power; (2) AC Energy; (3) Cagayan Electric Power & Light Company, Inc. (CEPALCO); (4) First Gen (FGEN)

Power Economics; (5) Independent Electricity Market of the Philippines (IEMOP); (6) Manila Electric Company (MERALCO); (7) Mindanao Energy Systems, Inc. (MINERGY); (8) Philippine Electricity Market Corporation (PEMC); (9) Shell Energy Philippines, Inc. (SEPH); (10) SN Aboitiz Power Group (SNAP); and (11) Tarlac Electric, Inc. (TEI);

WHEREAS, on 7 and 9 December 2021, the Commission conducted virtual Public Consultations on the draft GEOP Rules;

WHEREAS, during the virtual public consultations, stakeholders were instructed to submit, in writing, their comments on the draft GEOP Rules and its annexes on or before 11 December 2020;

WHEREAS, the following stakeholders submitted their comments on the draft Rules before the set deadline: (1) Department of Energy (DOE); (2) National Grid Corporation of the Philippines (NGCP); (3) SOLVRE Retail Electricity Supplier; (4) First Gen (FGEN) Power Economics; and (5) Allotrope Partners;

WHEREAS, after thorough and due deliberation, and after careful consideration of the various views and comments submitted by stakeholders, and those made during public consultations, the Commission, on 22 April 2021, approved the Green Energy Option Program Rules (GEOP Rules);

NOW, THEREFORE, the Commission hereby **RESOLVES** to **APPROVE** and **ADOPT** the **Green Energy Option Program Rules (GEOP Rules)**, hereto attached as **Annexes A, B-1, B-2, C-1, and C-2**, and made an integral part hereof, *to wit*:

1. Annex A – Rules for the Green Energy Option Program;
2. Annex B-1 – Connection Agreement Template;
3. Annex B-2 – Transmission Service Agreement Template;
4. Annex C-1 – Distribution Wheeling Service Agreement between the Distribution Utility and RE Supplier Template; and

5. Annex C-2 – Distribution Wheeling Service Agreement between the Distribution Utility and GEOP End-User Template;

This Resolution shall take effect fifteen (15) days following its publication in a newspaper of general circulation in the country.

Let copies of this Resolution be furnished the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR), the Department of Energy, and all parties concerned.

Pasig City, 22 April 2021.

ERC
Office of the Chairperson
AVSTD-2021-08-570-0001

AGNES VST DEVANADERA
Chairperson and CEO

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RULES FOR THE GREEN ENERGY OPTION PROGRAM (GEOP)

ARTICLE I
GENERAL PROVISIONS

Section 1. Purpose

The following are the objectives of the GEOP Rules:

a. Encourage End-Users to choose Renewable Energy resources as their supply of electricity;

b. Provide procedures on the GEOP End-User switching method and ensure effective implementation;

c. Ensure the efficient and timely exchange of information between and among GEOP participants;

d. Provide applicable billing procedures and disconnection process for GEOP End-Users;

e. Ensure the provision of continuous supply of electricity to GEOP End-User in the event that the Renewable Energy Supplier (RE Supplier) is unable to continue providing the service;

f. Establish procedures that shall facilitate arrangements among the Central Registration Body, Philippine Electricity Market Corporation (PEMC)/ Market Operator (MO), the RE Suppliers, the TransCo or its successors-in interest or concessionaire, the Distribution Utilities (DUs) and the GEOP End-Users; and

g. Provide for the standards, requirements, measurements and guidelines for the interconnection of Renewable Energy Generating Facilities embedded to the DU or Grid to address engineering, electric system reliability, and safety concerns.

Section 2. Scope

These Rules shall apply to the following stakeholders:

a. End-Users;
b. RE Suppliers;
c. Distribution Utilities (DUs);
d. Economic Zone Developers;
e. Economic Zone Utility Enterprises;

f. National Transmission Corporation (TransCo) or its successors-in interest or concessionaire;
g. Philippine Electricity Market Corporation (PEMC)/ Market Operator (MO);
h. Supplier of Last Resort (SOLR);
i. Central Registration Body (CRB);
j. RE Registrar; and
k. Metering Service Providers, authorized by the Energy Regulatory Commission (ERC).

Section 3. Definition of Terms

As used in these Rules, the following terms are defined as follows:

a) **Billing Period**
A period of one month commencing at 00:00 hours of the twenty sixth (26th) day of each calendar month to 24:00 hours of the twenty-fifth (25th) day of the next calendar month.

b) **Business Day**
A day other than a Saturday, a Sunday or an official or declared Philippine national or local public holiday.

c) **Business to Business (B2B) System or Central Registration and Settlement System (CRSS)**
An Information Technology (IT) infrastructure that handles information exchange among competitive retail market participants with the end in view of fulfilling an efficient Switching by End-Users in the competitive retail market. For the purpose of these Rules, the same system will be used by the CRB for the GEOP.

d) **Business Separation Guidelines (BSG) as amended**
The set of rules prescribing the clear separation of business operations and accounts between the regulated and non-regulated business activities of electric power industry participants.

e) **Central Registration Body (CRB)**
An independent entity assigned to undertake the required process, information technology, and other systems capable of handling customer switching and information exchange among retail electricity market and GEOP participants, as provided under existing guidelines and Rules of the Commission.

f) **Certificate of Compliance (COC) Rules**
The set of rules promulgated by the ERC regarding the issuance of Certificates of Compliance (COCs) for the Generation

Companies, Qualified End-Users and entities with Self Generation Facilities.

g) **Connection Agreement**
An agreement between an End-User and the Transmission Network Service Provider (or the Distribution Utility), which specifies the terms and conditions pertaining to the connection of the End-User System or Equipment to a new Connection Point in the Grid or Distribution System.

h) **Connection Point**
The point of connection of the End-User System or Equipment to the Grid or to the Distribution System.

i) **Department of Energy (DOE)**
Refers to the government agency created pursuant to Republic Act No. 7638 whose functions are provided for in Republic Act No. 9136.

j) **Directly Connected Customer (DCC)**
Industrial or bulk electricity End-users, which are directly supplied with electricity by a Generation Company or the Power Sector Assets Liabilities and Management Corporation (PSALM) or the National Power Corporation (NPC) pursuant to Republic Act No. 6395, as amended by Presidential Decree No. 395.

k) **Distribution Services and Open Access Rules (DSOAR)**
The set of rules promulgated under ERC Resolution No. 2, Series of 2010 regarding the provision of regulated services by a DU to entities such as captive and contestable customers, other DUs, generation companies, under the environment created by the EPIRA and any amendments thereto. Rules for the contestable market under the DSOAR shall apply to GEOP End-Users and RE Suppliers.

l) **Distribution System**
System of wires and associated facilities belonging to a franchised distribution utility extending between the delivery points on the transmission or sub-transmission system or generator connection and the point of connection to the premises of the End-User, as defined in Section 4(o) of Republic Act No. 9136.

m) **Distribution Utility (DU)**
Any electric cooperative, private corporation, government-owned utility, or existing local government unit which has an exclusive franchise to operate a distribution system in accordance with its franchise and the EPIRA, including DUs operating in the Economic Zones.

While the DU shall also be the SOLR in these Guidelines, the term "DU" shall only refer to the distribution business segment of a distribution utility as provided in the Business Separation Guidelines, to differentiate it from its SOLR business segment.

n) **Distribution Wheeling Service (DWS)**
The conveyance of power throughout a distribution system to meet the demand of End-Users.

o) **Distribution Wheeling Service Agreement (DWSA)**
An agreement between a DU and an RE Supplier in the case of Single billing scheme, or between a DU and a GEOP End-User, in the case of Dual/Multiple billing scheme, for the procurement of a DWS.

p) **Dual/Multiple Billing**
A billing system whereby a GEOP End-User receives separate bills from its RE Supplier/s and from its Network Service Provider.

q) **End-User**
Any person or entity requiring the supply and delivery of electricity for its own use.

r) **Energy Regulatory Commission (ERC)**
The independent and quasi-judicial regulatory agency created under Section 38 of the EPIRA.

s) **EPIRA**
Refers to the Electric Power Industry Reform Act of 2001 enacted through Republic Act No. 9136.

t) **Final Meter Reading**
The last actual meter reading made on a GEOP End-User's consumption prior to being served by a new RE Supplier or SOLR.

u) **GEOP End-User**
A GEOP End-User shall refer to any person or entity requiring the supply and delivery of electricity sourcing 100% of its electricity requirements from RE Resources for its own use.

v) **GEOP Operating Permit**
Refers to a document issued by the DOE to an entity allowing the supply of electric power to an End-User pursuant to Department Circular No. DC2020-04-0009.

w) **GEOP Supply Contract**
Refers to the agreement between a GEOP End-User and a duly authorized RE Supplier for the supply of electricity generated from RE, which shall contain at the minimum, the following terms and conditions:

i. Contract Period;
ii. Name of GEOP End-User and Location;
iii. Name of RE Supplier and Source of RE Supply;
iv. Guaranteed Demand (in kW or MW) and Energy (in kWh or MWh);
v. Contract Price for the supply of electricity;
vi. Payment Terms;
vii. Replacement Power Provision;
viii. Default Provision;
ix. Other Charges, if any, segregated and itemized; and
x. Disconnection Terms and Conditions

x) **Switch**
The commercial transfer of a GEOP End-User from the DU as its supplier under captive service to an RE Supplier.

y) **Interconnection**
The result of the process of adding an RE System to the Network Service Provider.

z) **Last Resort Supply**
The supply of electricity that a GEOP End-User will receive from a Supplier of Last Resort (SOLR). The Last Resort Supply is intended to be a temporary service until the GEOP End-User transfers to an RE Supplier.

aa) **Last Resort Supply Event**
Any of the events enumerated in Article IX, Section 25 of these Rules.

bb) **Local RES**
The non-regulated business segment of the DU catering to the contestable market and GEOP in its franchise area. As such, a license for a Local RES is not required, however, still subject to the requirement under Section 5 of ERC Resolution No. 1, Series of 2011.

cc) **Mandated Entities**
Refers to RE Suppliers, TransCo or its successors-in interest or concessionaire, DU and its other business segment, and PEMC/MO that are mandated to carry out the responsibilities under these Rules.

dd) **Market Operator (MO)**
The entity responsible for the implementation of the Wholesale Electricity Spot Market.

ee) **Metering Service Agreement (MSA)**
Refers to the agreement that defines the responsibilities and obligations of the MSP and the GEOP End-User in relation to the provision of metering facilities, equipment, and service as provided under the Distribution Services and Open Access Rules (DSOAR), Philippine Distribution Code (PDC), OATS Rules, the Grid Code, the WESM Rules, and other pertinent Rules of the Commission.

ff) **Metering Service Provider (MSP)**
A person or entity authorized by ERC to provide Metering Services. The DU and TransCo and its successors-in interest or concessionaire, in case of DCC shall be the default metering service provider for the Green Energy Option Program (GEOP).

gg) **National Transmission Corporation (TransCo)**
Refers to the corporation created pursuant to Republic Act No. 9136 who owns the Transmission Assets covered by the Concession Agreement with National Grid Corporation of the Philippines (NGCP).

hh) **Network Service Provider (NSP)**
A person or an entity engaged in the activity of owning, controlling, or operating a transmission or distribution system intended for the conveyance of electric power from the Generating Facility to the End-User.

ii) **Open Access and Transmission Service (OATS) Rules**
Refers to rules that govern the implementation of the Open Access Transmission Service, as approved by the ERC.

jj) **Prudential Requirement**
Refers to the amount that the Trading Participant in the WESM is required to maintain in order to ensure that it will meet its obligation to make payments as required under the WESM Rules

kk) **Philippine Distribution Code (PDC)**
Set of rules, requirements, procedures, and standards governing DUs and Users of Distribution System in the operation, maintenance, and development of the Distribution System. It also defines and establishes the relationship of the Distribution System with the facilities or installations of the parties connected thereto.

ll) **Philippine Electrical Code (PEC)**
The electrical safety code that establishes basic materials quality and electrical work standards for the safe use of electricity for light, heat, power, communications, signaling, and for other purposes.

mm) **Philippine Electricity Market Corporation (PEMC)**
Corporation incorporated upon the initiative of the DOE, which administers and governs the operation of the Wholesale Electricity Spot Market (WESM).

nn) **Philippine Grid Code (PGC)**
The set of rules, requirements, procedures, and standards to ensure the safe, reliable, secured, and efficient operation, maintenance, and development of the Grid and its related facilities.

oo) **Primary RE Supplier**
The RE Supplier nominated and assigned by the GEOP End-User, in writing, as the single point of contact for the CRB, the Network Service Providers and all other service providers. In case of Single Billing, it shall be responsible for billing and collecting from the GEOP End-User all applicable charges by the Network Service Providers and all other service providers. Only the Primary RE Supplier shall execute a Distribution Wheeling Service Agreement (DWSA) with the DU.

pp) **RE Act**
Republic Act No. 9513 (Renewable Energy Act of 2008), An Act Promoting the Development, Utilization, and Commercialization of Renewable Energy Resources and for Other Purposes.

qq) **Renewable Energy Certificate (REC)**
A certificate issued by the RE Registrar to the electric power industry participants showing the energy sourced, produced and sold or used. RE Certificates may be traded in the RE Market in compliance with the Renewable Portfolio Standards (RPS), as defined in Section 3(tt) of the Implementing Rules and Regulations of R.A. 9513.

rr) **Renewable Energy Market (REM)**
Refers to the market where RE certificates representing an amount of power generated from RE resources are traded, as defined in Section 4(qq) and provided in Section 8 of Republic Act No. 9513.

ss) **Renewable Energy Resources (RE Resources)**
Energy resources that do not have an upper limit on the total quantity to be used. Such resources are renewable on a regular basis, and whose renewal rate is relatively rapid to consider availability over an indefinite period of time. These include, among others, biomass, solar, wind, geothermal, ocean energy, and hydropower conforming with internationally-accepted norms and standards on dams, and other emerging renewable energy technologies, as defined in Section 4(uu) of Republic Act No. 9513.

tt) **Renewable Energy Systems (RE Systems)**
Refers to energy systems which convert RE resources into useful energy forms, like electrical, mechanical, etc., as defined in Section 4(vv) of Republic Act No. 9513.

uu) **Renewable Energy Suppliers (RE Suppliers)**
Refers to individuals or judicial entities created, registered, or authorized to operate in the Philippines in accordance with existing laws and engaged in the provision or supply of electric power from RE resources to Green Energy Option Program (GEOP) End-User.

vv) **Regular Switch**
The commercial transfer of a GEOP End-User from one RE Supplier to another RE Supplier.

ww) **Renewable Energy Registrar (RE Registrar)**
Refers to an entity that issues, keeps and verifies RECs corresponding to energy generated from Eligible RE Facilities and sold to or used by End-Users, as defined in Section 3(xx) of the Implementing Rules and Regulations of Republic Act No. 9513.

xx) **Retail Electricity Supplier (RES)**
Any Person or entity authorized by the ERC to sell, broker, market, or aggregate electricity to the End-Users.

yy) **Retail Electricity Supplier's License (RES License)**
The authority granted by the ERC to any person or entity to act as supplier of electricity to the Contestable Market and GEOP.

zz) **Replacement Power**
Supply of electricity to a GEOP End-User which shall be delivered to the latter should the RE Resource contracted by the RE Supplier be unavailable for whatever cause or reason. The Replacement Power shall be exclusively sourced by the RE Supplier from RE Resources.

aaa) **Single Billing**
A billing system whereby a GEOP End-User receives only one consolidated bill issued by a Primary RE Supplier. The consolidated bill includes the Network Service Provider wheeling charges as described in Section 36.

bbb) **Special Meter Reading**
An actual meter reading performed by a DU upon request of an RE Supplier, End-User or SOLR on a date that is different from the regularly scheduled meter reading date.

ccc) **Supplier of Last Resort (SOLR)**
A regulated entity designated by the ERC to serve GEOP End-User following a Last Resort Supply Event.

ddd) **SOLR Contract**
A contract that relates to the provision of Last Resort Supply to an End-User by a SOLR.

eee) **Switch Request**
A request sent by a prospective RE Supplier for the CRB to switch a GEOP End-User from its Network Service Provider or another RE Supplier or SOLR.

fff) **Switch or Switching**
The commercial transfer of a GEOP End-User from the Network Service Provider to an RE Supplier or SOLR and/or from one supplier to another, which takes effect as stated in Article V or on a special meter reading date following a Last Resort Supply Event.

ggg) **Transmission Service Agreement (TSA)**
Refers to the agreement entered into by the Transmission Provider and user of the facility that specifies the terms and conditions of the transmission service by the Transmission Provider and the availment of such service by the Transmission Customer; also serves as the Connection Agreement.

hhh) **Universal Charge (UC)**
The charge, if any, imposed for the recovery of the stranded cost and other purposes pursuant to Section 34 of the EPIRA.

iii) **WESM Metering Service Provider (WMSP)**
A person or entity authorized by the ERC and registered with the Market Operator to provide metering services in accordance with Chapter 4 of the WESM Rules.

jjj) **Wholesale Electricity Spot Market (WESM)**
The Wholesale Electricity Spot Market established by the Department of Energy (DOE) pursuant to Section 30 of the EPIRA.

ARTICLE II
ELIGIBLE END-USERS FOR GEOP

Section 4. Qualifications

4.1. All End-Users with a monthly average peak demand of 100 kilowatts (kW) and above, for the past twelve (12) months, may participate in the GEOP.

4.2. An End-User that has been in operation for less than twelve (12) months upon effectivity of the GEOP Rules shall be considered a newly connected End-User. Such End-User may participate in the GEOP, subject to the following:

a. End-Users whose estimated average monthly peak demand for the next twelve (12) months, based on the loadprofiling, is 300kW or above; or

b. End-Users whose estimated average monthly peak demand for the next twelve (12) months, based on the load profiling, is from 100kW to below 300kW, and has a registered historical monthly peak demand of at least 100kW for three (3) consecutive months.

The DU, in any of the cases under Sections 4.1 and 4.2 herein, shall confirm in writing, that the End-User has met the average peak demand necessary to participate in the GEOP. The DUs are required to notify the End-Users, who have qualified to be GEOP End-Users, by including the following information in the End-User's monthly bill, to wit:

> *You are a qualified GEOP End-User; thus you can now choose your preferred Renewable Energy Supplier.*
>
> For *more* details, including procedures for switching to your preferred Renewable Energy Supplier, please refer to Resolution No. 08, Series of 2021, which can be accessed at www.erc.gov.ph.

Such clause shall be clearly written and shall be placed in a conspicuous spot in the monthly bill.

In instances where the GEOP End-User's average peak demand drops below 75% of 100kW for the immediately preceding six (6) consecutive months and the same is not attributable to seasonal demand, the RE Supplier shall send a written request to the DU, with a confirmation from the CRB and MSP that the demand level of such GEOP End-User has decreased by such amount. Such GEOP End-User shall be reverted to the Captive Market.

4.3. All End-Users with average peak demand below 100 kW may participate in the GEOP, after the DOE, in consultation with NREB and industry stakeholders, determines that the technical requirements and standards are already met. Separate Rules will be issued after proper determination.

4.4. To participate in the GEOP, existing End-Users should have no outstanding balance with its DU or TransCo or its successors-in interest or concessionaire. End-Users shall be required to settle their outstanding balance prior to Switching. For purposes of these Rules, the outstanding balance shall refer to the amount due under previous unpaid bills including the amount indicated in its current bill.

ARTICLE III
INTERCONNECTION STANDARDS

Section 5. Guiding Principles

5.1. An End-User who intends to participate in the GEOP shall inform its DU or TransCo or its successors-in interest or concessionaire, in the case of DCC of his/her plan to source power from RE Resources, including the proposed date of initial switch.

5.2. All specifications and detailed plans for the installation of the communication, control, and protective devices shall be of the NSP's standards. All meter and meter installation costs shall be borne by the MSP. However, if the GEOP End-User has existing meter, the difference between the old meter and the new meter, including the upgrade and reprogramming shall be borne by the GEOP End-User.

5.3. The RE System shall conform to the latest version of the PEC, PDC, PGC, DSOAR, COC Rules, OATS Rules, the Terms and Conditions of Service and Standard Rules and Regulations, and other Rules as approved by the ERC, and any subsequent amendment/s thereto.

Section 6. Mandated Activities

As provided under Section 9 of Republic Act No. 9513, TransCo or its successors-in interest or concessionaire, DUs, MO and all relevant parties are mandated to provide the mechanisms for the physical connection and commercial arrangements necessary to ensure the success of the Green Energy Option Program.

Section 7. Application for Interconnection

7.1. Any GEOP End-User seeking a new connection to the Distribution system shall follow the distribution connection procedures as provided in Section 4.3 of the PDC and any amendments thereto.

7.2. Any GEOP End-User seeking a new connection to the Grid shall obtain approval of the DOE in accordance with Section 5 of DC2020-01-0001 and follow the standards, requirements, measurements and guidelines as provided in Chapter 4 of the PGC, OATS Rules, and other related regulatory issuances and any subsequent amendment thereto.

Section 8. Metering

Metering requirements, metering procedure and standards, and metering equipment shall be in accordance with the PDC, the PGC, the OATS Rules, the WESM Rules and WESM Manual on Metering Standards and Procedures, and the Retail Rules and Retail Manual on Metering Standards and Procedures, other related regulatory issuances and any subsequent amendment thereto. An appropriate meter shall be installed, capable of registering energy use and demand recorded at 5-minute intervals.

ARTICLE IV
COMMERCIAL ARRANGEMENTS

Section 9. Connection Agreement between the Distribution Utility and the GEOP End-User

Subject to technical considerations and without discrimination, and upon request by an End-User for the Switch, the DU shall enter into a Connection Agreement (CA) with the requesting GEOP End-User, ensuring that the minimum elements in Annex "B-1" are present.

If an End-User transfers from the Captive Market to the GEOP Market, its bill deposit shall be returned by the DU within thirty (30) calendar days from the termination of the service Contract. If the End-User has an unpaid balance upon the termination of the service Contract, said

bill deposit may be applied to settle the End-User's unpaid balances. In case the bill deposit is not sufficient to cover the unpaid balance, the End-User shall settle the difference. Failure of the DU to return the said bill deposit or the remainder thereof within the period provided, shall entitle the End-User to the payment of applicable legal interest.

Section 10. Transmission Service Agreement between the TransCo or its Successors-in Interest or Concessionaire and the GEOP End-User

Subject to technical considerations and without discrimination, and upon request by an End-User, TransCo or its successors-in interest or concessionaire shall enter into a Transmission Service Agreement (TSA) with the requesting GEOP End-User, using the ERC template, or basing upon it the minimum elements that should be in the TSA (See Annex "B-2").

Section 11. Distribution Wheeling Service Agreement (DWSA)

The RE Supplier shall enter into a DWSA with the DU, in the case of Single Billing Scheme while, the GEOP End-User shall enter into a DWSA with the DU, in the case of Dual/ Multiple Billing Scheme, ensuring that the minimum elements in Annexes “C-1” & “C-2” are present.

Section 12. RE Suppliers License

No Person or Entity may engage in the Supply of Electricity to End-Users under the GEOP unless such Person/Entity has secured a Retail Electricity Supplier (RES) license from the ERC subject to the provisions of ERC Resolution No. 1, Series of 2011.

The ERC shall issue a license to qualified RE Supplier that complies with all applicable requirements stipulated under ERC Resolution No. 01, Series of 2011, entitled “*A Resolution Adopting the Revised Rules for the Issuance of Licenses to Retail Electricity Suppliers (RES).”* The list of RE Suppliers with RES license will be posted on the ERC website.

Section 13. Distribution Utility’s Requirements Acting as SOLR

13.1. The DU shall provide a clear separation of accounts for its business/financial activities as a SOLR vis-à-vis its other regulated business activities, as provided in the Business Separation Guidelines (BSG), as amended.

13.2. The DU, acting as the SOLR, shall have the capability to participate in the Wholesale Electricity Spot Market (WESM).

Section 14. Reduction of the DUs' Contracted Energy Volumes

14.1. In the case of DUs with bilateral contract(s) having no energy reduction provision, the DUs shall be allowed to propose their own methodology in mitigating the impact of customer switching, including possible renegotiation of power supply agreements and/or assignment of excess contracted energy volumes to RE Supplier(s) or its Local RES business segment. In any and all such methodologies, the DU shall demonstrate to the ERC that there is already a stranding of supply, and that the proposal will result in the least-cost supply and reasonable power rates to the captive customers. Any amendment to the said power supply agreements shall be subject to review and approval of the ERC.

14.2. The DU may opt to sell its excess contracted supply to the WESM, subject to the provisions of ERC Resolution No. 16, Series of 2016.

14.3. The DU may explore other means to reduce the excess contracted energy volumes provided the said amendments to DU's power supply contracts shall be jointly filed with the ERC subject for its review and approval.

ARTICLE V
CUSTOMER SWITCHING

Section 15. Conditions for Switching.

15.1. **End-User's Obligation.** The End-user's obligations, as applicable, are as follows:

a. For End-Users connected to the DU system, notify the DU of its intention to participate in the GEOP, at least ninety (90) calendar days prior to its intended signing of a GEOP Supply Contract with an RE Supplier, through registered mail, electronic mail, or personal service;

b. For End-Users categorized as DCC, notify TransCo or its successors-in interest or concessionaire, of its intention to participate in the GEOP, at least ninety (90) calendar days prior to its intended signing of a GEOP Supply Contract with an RE Supplier, through registered mail, electronic mail, or personal service;

c. notify its NSP and the CRB through registered mail, electronic mail or personal service, its signed contract with an RE Supplier at least thirty (30) calendar days prior to the start of supply;

d. fulfill its contractual obligations to the DU, TransCo or its successors-in interest or concessionaire or to its previous RE Supplier/s;

e. enter into GEOP Supply contract with its prospective RE Supplier/s;

f. enter into a Connection Agreement with its NSP;

g. enter into a Transmission Service Agreement with the TransCo or its successors-in interest or concessionaire;

h. enter into a Metering Service Agreement (MSA) with the MSP;

i. provide the CRB, copy furnish the RE Supplier, through registered mail or personal service, a copy of its signed CA/TSA and MSA entered into with the NSP at least thirty (30) calendar days prior to its effectivity; and

j. enter into a DWSA with the DU under Section 11 hereof, and or such other agreements with the relevant service providers.

15.2. **RE Supplier's Obligation.** The RE Supplier shall:

a. secure a Retail Electricity Supplier's (RES) License from the ERC before–commencing its obligations in a GEOP Supply Contract;

b. register as an RE Supplier with the PEMC/MO, CRB and RE Registrar;

c. shall inform the GEOP End-User of its option to choose between a single or multiple/dual billing scheme;

d. enter into a DWSA with the GEOP End-User's DU, as applicable. The pro-forma Service Agreement that may be adopted by the NSP with the GEOP End-User is hereto attached as Annex "C-1";

e. enter into a TSA with TransCo or its successors-in interest or concessionaire, as applicable. The pro-forma Service

Agreement that may be adopted by the NSP with the GEOP End-User is hereto attached as Annex "B-2";

f. notify the GEOP End-User's DU/Transco or its concessionaire, and the CRB through electronic mail, registered mail, personal service, or via the DU or CRB hotline, of the required information regarding the GEOP End-User's signed contract with an RE Supplier at least thirty (30) calendar days prior to its effectivity; and

g. inform the CRB of the occurrence of any of the following Last Resort Supply Events as enumerated under Section 25.

15.3. **Network Service Provider's Obligations.** The NSP shall:

a. inform the End-User of the transmission, distribution services, and other charges, segregated and unbundled, by way of its monthly electric bill;

b. submit to the CRB the following information in respect of the End-Users who signified interest to participate in the GEOP, that already met the required demand threshold:

i. Name;
ii. Billing and service addresses;
iii. Account number;
iv. Contact information (telephone numbers and e-mail addresses);
v. Meter number;
vi. Meter specifications (interval metering, channels); and
vii. Site and Equipment Identification Number of the grid metering point of the Distribution Utility where the supply of the end user passes through.

c. enter into a DWSA with the RE Supplier/GEOP End-User in the DU's franchise area;

d. perform its contractual obligations to the End-User/RE Supplier; and

e. be the default SOLR in case of occurrence and during the subsistence of any of the Last Resort Supply Events under Section 25 hereof. The DU acting as NSP to provide SOLR service shall submit its pro-forma terms and conditions for the supply of electricity to the ERC for approval, at least thirty (30) calendar days prior to the commencement of GEOP.

15.4. **Metering Service Provider's Obligations.** The MSP shall:

a. install/replace/reprogram the existing revenue meters to meters capable of recording and reading interval of time with a built-in communication port for remote and manual data retrieval for End-Users who signified interest to participate in the GEOP. This shall be done thirty (30) calendar days prior to the intended signing of a GEOP Supply Contract with RE Supplier.

b. ensure that the metering requirement provided under Section 8 hereof shall be complied with prior to the filing of the Switch Request;

c. shoulder all meter and meter installation costs, subject to Section 5.2 hereof; and

d. perform all the obligations provided under Article IV, Section 4.5 of the DSOAR.

Section 16. Switching Procedure

16.1. Once the basic conditions for Switching as stated in Section 15 hereof have been satisfied, the prospective RE Supplier shall submit a Switch Request to the CRB, copy furnished its NSP, not later than seven (7) business days before the proposed effective date.

16.2. The Switch Request, to be submitted by the prospective RE Supplier through a Switch Request Form, shall be accompanied by the following documentary requirements:

a. Switch Request Form;
b. Copy of RE Supply Contract;
c. Copy of valid Wheeling Service Agreement;
d. Copy of valid Metering Services Agreement;
e. Connection Agreement between a GEOP End-User and its Network Service Provider; and
f. Prudential requirements.
g. A verification executed by the RE Supplier stating that the above-enumerated documents are authentic and the contents thereof are true and correct.

16.3. The CRB shall immediately evaluate the completeness of the abovementioned requirements, including the verification of information of the GEOP End-User, as submitted by the NSP

under Section 15.3. The CRB shall notify the RE Supplier and the GEOP End-User of deficiencies, if any, within two (2) business days from its receipt of the switch request.

All deficiencies in its submission should be completed by the RE Supplier and the GEOP End-User within two (2) business days from the receipt of the CRB's notice. Thereafter, the CRB shall complete its evaluation no more than two (2) business days from receipt of the complete submissions.

16.4. The aforementioned procedures shall likewise apply to regular switching from one RE Supplier to another.

Section 17. Switch Approval/ Disapproval

17.1. The CRB upon receipt of Switch Request, shall verify that all the conditions are met by the RE Supplier and the GEOP End-User, undertaking the following steps:

a. The RE Supplier shall update its WESM prudential requirements, if so required by the Market Operator (MO), within two (2) business days from the receipt of notice from the MO to ensure that it fully satisfies the prudential requirement as set out in the WESM Rules.

b. The CRB shall approve the switch request and shall notify the RE Supplier, the GEOP End-User, MSP, and the relevant NSP, and in case of regular switch request, the current RE Supplier of the approval of the switch request and the effective date of the switch within two (2) business days.

17.2. If the CRB verifies that the conditions set forth in Sections 16 and 17.1 are not met, or if the MO confirms that the prudential requirements are not fully satisfied:

a. The CRB shall notify the GEOP End-User, the new RE Supplier which submitted the switch request, and the relevant NSP that the switch request shall not take effect and the reasons therefor within two (2) business days from confirmation.

In cases of regular switch, the existing RE Supplier shall also be notified by the CRB that the switch request shall not take effect and the reasons therefor within two (2) business days from confirmation.

b. The RE Supplier, which submitted the switch request, shall rectify the deficiencies in the application or requirements

in its application and submit the complete requirements to the CRB within the prescribed timeframe under Section 16.3.

c. If the deficiency pertains to prudential requirements, the party required to comply shall update its prudential requirements to the satisfaction of the MO within the prescribed timeframe under Section 17.1.

d. If the deficiency pertains to the metering requirements, the relevant DU as the MSP shall complete the requirements within five (5) business days from its receipt of notice. For cases which requires scheduling of service interruption on the part of the End-User, the completion will be based on the agreed date of execution with the End-User.

e. If the deficiencies in the application or requirements are not rectified within the prescribed timeframe, the CRB shall notify the RE Supplier, copy furnish the GEOP End-User, the NSP, and the current RE Supplier, if any, within three (3) business days from the time the deficiency should have been rectified. Such information will indicate that the switch request will not be processed, without prejudice to refiling of a new request, provided all conditions will be met by the RE Supplier and/or the party required to comply.

17.3. Once switching is approved, the GEOP End-User shall settle its balances with its current RE Supplier within the timeframe specified in the GEOP Supply Contract. The GEOP End-User shall not be disconnected upon settlement, and until the completion of the switching process to the new RE Supplier.

If a security deposit has been put up by the GEOP End-User as required by its current RE Supplier, said security deposit must be returned by the RE Supplier within thirty (30) calendar days from the termination of the GEOP Supply Contract. If the GEOP End-User has an unpaid balance upon the termination of the GEOP Contract, said security deposit may be applied to settle the GEOP End-User's unpaid balance. In case the security deposit is not sufficient to cover the unpaid balance, the GEOP End-User shall settle the difference. Failure of the RE Supplier to return the said security deposit or the remainder thereof within the period provided shall entitle the GEOP End-User to the payment of interest based on the applicable legal interest rates.

17.4. If payment of security deposit is required, as stated in the GEOP Supply Contract, the GEOP End-User shall pay the corresponding deposit to the prospective RE Supplier

immediately upon receipt of notice of the Switch Approval from the RE Supplier or the CRB, and in no case later than the period stated in the GEOP Supply Contract.

Section 18. Maintenance and Updating of Central Registration Body Registry

The CRB shall maintain and update its registration records of all switches in electronic copies. Retention, storage, and destruction of records shall be in accordance with prevailing company policies, relevant market manuals, or data privacy laws. The CRB shall be responsible for maintaining and ensuring completeness of registration records and inform the MSP of the updated list of switchers.

The CRB registration records and database shall include, but will not be limited to the following:

a. Switch Request Form and different agreements as enumerated under Section 16.2 hereof, including any amendments or modifications thereto;

b. Notices and other communications to and from the requesting parties, and other parties or agencies;

c. Assessment forms and related internal communications; and

d. Document submission from the requesting parties.

If the CRB determines under this Section that the GEOP End-User has incomplete customer information as required under Section 15.3(b), the CRB shall notify the relevant NSP, through electronic mail, fax, or other means of communication capable of time stamping, to provide the necessary information within two (2) business days from the receipt of the notification.

The CRB shall regularly submit records every 15th day of the following month. The records concerning the registration and transactions of RE Supplier and GEOP End-Users shall be submitted to the ERC.

ARTICLE VI
CUSTOMER RELOCATION

Section 19. Customer Relocation within DU's franchise area.

19.1. A GEOP End-User who intends to transfer to a new service address within the DU's franchise area and wishes to continue receiving service from its RE Supplier shall send a Request for Relocation of Service to its RE Supplier, copy furnish the CRB, at

least thirty (30) calendar days before the planned relocation date. The Request for Relocation of Service shall contain the following:

a. Address of the new location; and

b. Intended date of transfer and the commencement of service at the new location.

Prior to sending a request for relocation of service to its current RE Supplier, the GEOP End-User should have performed due diligence in ensuring that the intended relocation site is within the DU's franchise area and distribution system. This does not, however, automatically allow such End-User to continue participating in GEOP unless the End-User's new system complies with the threshold demand requirements in subsections 4.1 or 4.2.

19.2. The RE Supplier shall inform the GEOP End-User whether it shall continue or discontinue its service at the GEOP End-User's new location within one (1) business day from receipt of the Request for Relocation of Service. In case of discontinuance, the reason therefor shall be provided by the RE Supplier. Likewise, within the same period provided herein, the RE Supplier shall send a copy of the GEOP End-User's Request for Relocation of Service, along with a notice to continue or discontinue RE Supplier's service to the CRB. In the event that the RE Supplier opted not to continue the service at the new location, the GEOP End-User shall endeavor to find a new RE Supplier and undergo the Switching Procedures under Section 16 hereof.

19.3. If the RE Supplier shall continue its service, the CRB shall forward the request for relocation of service to the DU within one (1) business day from receipt of notice from RE Supplier.

The DU shall send notice of approval or disapproval of such request to the RE Supplier through the CRB within two (2) business days from receipt of CRB's notice. In case of approval, the RE Supplier, shall enter into negotiations with the DU and that they shall have a perfected DWSA within three (3) business days from receipt of the notice of the approval.

The DU shall then send a notice to the CRB that the DWSA has been perfected and the effective date and time for the commencement of the service in the new location, within two (2) business days from perfection of the DWSA.

19.4. The CRB shall forward the DU's notice of perfection of the DWSA to the RE Supplier within one (1) business day from receipt of

such notice and the RE Supplier shall then forward the notice to its GEOP End-User within one (1) business day from receipt thereof**.**

19.5. The DU and GEOP End-User shall have a new connection agreement at the new location. The relocation date shall take into consideration the DU's completion of connection facilities at the new location.

Section 20. Customer Relocation to Another Franchise Area

A GEOP End-User who intends to transfer to a new service address in another franchise area and wishes to continue receiving service from its RE Supplier shall be governed by the procedures for new applications as provided in these Rules.

Section 21. Prohibited Commercial Transfers.

A commercial transfer of GEOP End-User to another RE Supplier or reverted to a non-RE Supplier without the GEOP End-User's authorization is not permitted and shall be considered a prohibited Commercial Transfer.

The GEOP End-User shall file a complaint with the ERC, in the event a prohibited Commercial Transfer has occurred.

ARTICLE VII
TERMINATION OF GEOP SUPPLY CONTRACTS

Section 22. Pre-Termination of GEOP Supply Contract

22.1. If a GEOP End-User decides to terminate its GEOP Supply Contract with its RE Supplier before the end of the term of the GEOP Supply Contract, the GEOP End-User shall inform the RE Supplier and the latter shall process the termination of theGEOP Supply Contract in accordance with the Termination Clause of such contract.

22.2. The RE Supplier shall then submit a Notice of Pre-termination of GEOP Supply Contract to the CRB within one (1) business day from the effectivity of the pre-termination.

22.3. The CRB shall forward the notice to the NSP within one (1) business day from receipt of the GEOP Supply Contract Termination Notice. The NSP and RE Supplier/GEOP End-User shall act on the termination of the DWSA or TSA for that GEOP End-User within three (3) business days.

22.4. The GEOP End-User may switch to an RE Supplier following the procedures under Section 16 hereof or revert to being a Captive End-User.

22.5. If the RE Supplier intends to terminate the contract prior to the expiration of its term, the RE Supplier shall send a Notice of Pre-termination of GEOP Supply Contract to the GEOP End-User in accordance with the terms specified in the contract, and shall likewise notify the CRB and the relevant NSP and MSP of the said intent.

Section 23. Non-Renewal of GEOP Supply Contract

23.1. If the RE Supplier does not intend to renew the GEOP Supply Contract upon its expiration, the RE Supplier shall send a Notice of Non-Renewal to the GEOP End-User and the CRB at least thirty (30) calendar days prior to the expiration of the said GEOP Supply Contract. CRB shall forward to the NSP the Notice of Non-Renewal, within one (1) business day from receipt thereof.

23.2. The RE Supplier/GEOP End-User and NSP shall act on the termination of the DWSA or TSA.

23.3. The GEOP End-User may endeavor to find a new RE Supplier and undergo the Switching procedures under Section 16 hereof or revert to be a Captive End-User.

23.4. If the GEOP End-User does not intend to renew its GEOP Supply Contract with its RE Supplier, said GEOP End-User shall send a notice to its RE Supplier at least thirty (30) calendar days before GEOP Supply Contract expires. The GEOP End-User shall follow the procedure in Section 16 hereof.

23.5. The CRB shall notify the RE Supplier of the forthcoming expiration of its GEOP Supply Contract with that GEOP End-User under the following circumstances:

a. Failure on the part of the RE Supplier and the GEOP End-User to renew their GEOP Supply Contract at least thirty (30) calendar days prior to the expiration of its existing GEOP Supply Contract; or

b. Failure of the GEOP End-User to contract with a new RE Supplier at least thirty (30) calendar days prior to the expiration of its existing GEOP Supply Contract.

In case of a new GEOP Supply Contract with a new RE Supplier, the procedures under Sections 17.3 and 17.4 shall be followed.

ARTICLE VIII
REVERSION TO THE CAPTIVE MARKET

Section 24. Reversion to the Captive Market

24.1. The GEOP End-User may revert to being a Captive End-User at any time, subject to the following conditions or circumstances:

a. Fulfillment of its contractual obligations to the RE Supplier/s;

b. Agreement for the supply of electricity through the DU, in accordance with the DSOAR;

c. GEOP End-User's average peak demand has decreased, as provided in Section 4.2;

d. Upon the occurrence of any of the following Last Resort Supply Events as stated under Section 25 hereof; and

e. The GEOP End-User's contract with the SOLR exceeded the maximum allowed period.

24.2. The GEOP End-User may only exercise its option to revert to being a Captive End-User once every twelve (12) months.

24.3. A GEOP End-User who intends to revert to the Captive Market shall be treated as a new customer by the DU.

ARTICLE IX
SUPPLIER OF LAST RESORT (SOLR)

Section 25. Conditions for Resorting to SOLR.

The GEOP End-User, who opts to remain a GEOP End-User, may avail of the services of the SOLR upon the occurrence of any of the following Last Resort Supply Events:

a. The RE Supplier has ceased to operate;
b. The RE Supplier's RES license has expired or been revoked by ERC;
c. GEOP Operating Permit has been revoked by DOE;
d. The DWSA between the RE Supplier and the DU has been terminated;
e. The TSA between the RE Supplier/GEOP End-User and TransCo or its successors-in interest or concessionaire has been terminated;

f. The RE Supplier is no longer permitted to trade electric energy through the WESM;
g. Failure to renew or secure a new GEOP Supply Contract; or
h. Any other analogous event which the ERC may deem as a Last Resort Supply Event.

Section 26. Procedures for the Assumption of Service by the SOLR.

26.1. Upon the occurrence of any of the Last Resort Supply Events enumerated under Section 25 hereof, the RE Supplier shallnotify the CRB, submitting relevant documents as proof, and theGEOP End-User within the hour of discovery of the happening of the Last Resort Supply Event.

26.2. The GEOP End-User shall inform the CRB in accordance with Section 57 of these Rules that it will avail of the SOLR service within two (2) business days after being notified of the occurrence of the Last Resort Supply Event.

26.3. Upon receipt of notice from the GEOP End-User and determination of the occurrence of a Last Resort Supply Event, the following procedures shall apply:

a. The CRB shall send notices to the GEOP End-User and SOLR within one (1) business day of the effective date of its transfer to the SOLR;

b. The SOLR shall inform the GEOP End-User within one (1) business day of the following:

i. That SOLR service shall commence on the effective date of transfer;
ii. The details of the terms and conditions of the SOLR contract;
iii. Of their right to transfer to an RE Supplier, revert to the Captive Market, or purchase its energy requirement to WESM for DCC at any time after the commencement of the SOLR service, subject to the provisions of Section 24.2; and
iv. How and where to obtain information on other RE Suppliers.

c. If the GEOP End-User agrees to the terms and conditions of the SOLR contract, said GEOP End-User shall:

i. Sign the SOLR contract; and
ii. Pay the corresponding deposit.

d. A GEOP End-User shall make a deposit to the SOLR equivalent to one (1) month total estimated billing based on the average of previous or forecasted six (6) months' demand and energy usage. Such deposit shall be fully refundable upon termination of SOLR service, with interest paid on the deposit in accordance with the applicable legal interest rate for savings deposit approved by the Bangko Sentral ng Pilipinas (BSP), less any arrears that have accrued in the GEOP End-User's account, except when such arrears are restrained under legal contest.

e. Upon signing of the SOLR contract and the payment of deposit, the SOLR shall immediately submit a Switch Request to the CRB.

f. The SOLR shall conduct special meter reading, subject to special meter reading charges, of the GEOP End-User's usage to delineate the consumption between the RE Supplier and the SOLR.

g. The date of the Final Meter Reading shall be the commencement date of SOLR service.

Section 27. GEOP End-User Switching to SOLR

Once all parties agree, an accomplished switch request form accompanied by all requirements enumerated under Section 16.2, if applicable, shall be submitted by the SOLR to the CRB no later than two (2) business days after being notified of the occurrence of the Last Resort Supply Event.

Section 28. SOLR Obligations.

28.1. The SOLR shall maintain the supply of electricity to such GEOP End-Users until assumption of supply by a new RE Supplier or reversion of the End-User to the Captive Market.

28.2. The SOLR may purchase power, preferably RE sources from the WESM and/or through a bilateral contract with Independent Power Producers (IPPs).

28.3. The SOLR shall administer the process of transferring those GEOP End-Users, who opted to avail of its SOLR service, which may include but not limited to metering and billing arrangements.

28.4. The GEOP End-User is responsible for paying all charges based on the SOLR rate for the duration of Last Resort Supply.

28.5. The SOLR is required to collect Universal Charge (UC), FIT-All and other applicable charges from all of its GEOP End-Users on a monthly basis, and shall comply with the Rules issued by ERC.

Section 29. SOLR Service Term

29.1. If a GEOP End-User does not transfer to another RE Supplier or revert to the Captive Market at the end of its first Billing Cycle, the SOLR Contract shall be automatically renewed up to a maximum of two (2) more billing cycles.

If a GEOP End-User transfers from the SOLR to a new RE Supplier or revert to the Captive Market, its security deposit as required by the SOLR, shall be returned by the SOLR within thirty (30) calendar days from the termination of the SOLR Contract. If the GEOP End-User has an unpaid balance upon the termination of the SOLR Contract, said security deposit may be applied to settle the GEOP End-User's unpaid balances. In case the security deposit is not sufficient to cover the unpaid balance, the GEOP End-User shall settle difference. Failure of the SOLR to return the said security deposit or the remainder thereof within the period provided, shall entitle the GEOP End-User to the payment of interest, based on the applicable legal interest rates.

Section 30. SOLR Rate

30.1. The SOLR shall charge the applicable WESM nodal energy price, or the bilateral contract entered into for the purposes of providing SOLR service, whichever is higher, for the energy consumed by the GEOP End-User during all hours of the billing period, plus a five percent (5%) premium to cover incremental administrative and overhead expenses and reasonable return on investment.

30.2. System loss charges shall be computed using the same methodology used for the Captive Market. All costs of Last Resort Supply shall be disclosed in an unbundled and transparent manner in the billing to the GEOP End-User. The SOLR may file an application with ERC at any time for approval of reasonable unbundled supply charges.

30.3. The SOLR may purchase power for Last Resort Supply through Wholesale Electricity Spot Market (WESM) and/or through a bilateral contract with Independent Power Producers (IPPs).

ARTICLE X
BILLING AND PAYMENTS

Section 31. A GEOP End-User may choose from Single or Dual/Multiple Billing schemes: Provided, that said End-User maintains the chosen billing option for at least twelve (12) months and such should be stipulated in its GEOP Supply Contract with the RE Supplier.

Section 32. Neither the NSP nor the RE Supplier shall impose any charges on a GEOP End-User for changing its billing method.

Section 33. Bill Content

33.1. Apart from the detailed billing information provided in Sections 36.2 and 34.7, the RE Supplier's bills shall be in clear and simple language, and shall contain, among others, the following:

a. RE Supplier's customer service address, email addresses and telephone numbers;

b. Address, telephone numbers and email addresses of the Consumer Affairs Service of the ERC;

c. NSP's customer service and emergency telephone numbers; and

d. Other announcements or information as may be required by the ERC.

33.2. The RE Supplier's bills shall also contain sufficient information to allow GEOP End-Users to calculate their charges, such as but not limited to: the kWh usage for the indicated billing period, the billing date (due date), remaining balance and payments applied.

Section 34. Single Billing Scheme

34.1. The NSP shall send its billing statement to the RE Supplier within the timeframe specified in its billing agreement after it has provided the Meter Reading Data to the CRB.

34.2. The RE Supplier shall acknowledge receipt of the NSP's billing statement within one (1) business day.

34.3. The RE Supplier shall send the consolidated billing statement to the GEOP End-User within the timeframe specified in its GEOP Supply Contract upon receipt of NSP's billing statement.

34.4. The GEOP End-User shall receive one consolidated bill from the RE Supplier or the Primary RE Supplier, in case of multiple RE Suppliers, reflecting all charges including the approved wheeling charges, described in Section 15.2 hereof, from the NSP.

34.5. A GEOP End-User is responsible for paying its RE Supplier all amounts billed by the RE Supplier, but shall not be responsible for any amount not paid by the RE Supplier to other market participants. Any prejudice to the GEOP End-User due to the non-payment of the RE Supplier to other market participants shall entitle the GEOP End-User to damages and other indemnifications as may be agreed upon in the breach of contract provisions stated in their GEOP Supply Contract.

34.6. The RE Supplier shall have the responsibility to contract directly with the NSP for the DWSA. The DWSA pro-forma contract to be adopted by the NSP with the RE Supplier is hereto attached as Annex "C-1".

34.7. The bill by the RE Supplier to GEOP End-User shall contain the following:

RE Supplier Charges
Generation Charge
Supplier's Charge
Government Taxes
WESM Net Settlement Surplus (NSS) Allocation, if applicable
Total RE Supplier Charges

Distribution Wheeling Service (DWS) Charges
Transmission Charge
Distribution Charge
Standard Connection Charge
Supply Charge
Metering Charge
System Loss Charge
Local Franchise Tax
Senior Citizen Discount
Lifeline Rate Subsidy
Value-Added Tax (VAT)
Universal Charge
FIT-All Charge
Arrears, if any; and
Other Charges and Adjustments approved by the ERC.
Total Distribution Wheeling Service Charges
TOTAL ELECTRICITY BILL

The RE Supplier merely acts as a collecting agent for the DWS charges on behalf of the NSP and shall be responsible for settling said charges with the latter. Such DWS charges are pass-through charges by the NSP, TransCo or its successors-in interest or concessionaire, and other government entities, based on rates previously approved by the ERC.

These charges include the transmission for TransCo or its successors-in interest or concessionaire, universal charge for PSALM, taxes, and other adjustments on behalf of the NSP.

34.8. Payment Processing and Remittance for Single Billing Scheme

a. The RE Supplier shall supply the 100% energyrequirement of the GEOP End-User subject to the pricing methodology specified in their GEOP Supply Contract, and the RE Supplier shall pay all amounts due to the DU within the timeframe specified in their DWSA to avoid disconnection of service.

b. The RE Supplier may impose late payment charges on the GEOP End-User for unpaid amounts; Provided, that the terms of the late payment charges are stated in the GEOP Supply Contract and previously disclosed to the GEOP End-User. The RE Supplier may calculate the late payment charges based on the previously approved surcharge by the ERC for late payments, or calculated as provided in Section 4.8.3, Article IV of the DSOAR, as applicable.

The settlement of late payment charges is in addition to, and not in lieu of, the rights and remedies otherwise available to the parties.

The RE Supplier shall pay DWS payments to the NSP within the timeframe specified in their billing agreement by use of electronic funds transfer, bank-to-bank transfers, or any other means agreed upon by both parties.

Section 35. Dual/Multiple Billing

35.1. The NSP and RE Supplier/s shall render separate bills directly to the GEOP End-User. The GEOP End-User shall pay the NSP and the RE Supplier/s separately within the timeframe specified in their respective GEOP Supply Contracts, wheeling agreement and applicable rules.

35.2. The GEOP End-User shall have the responsibility to: (1) contract with the RE Supplier/s for its electricity requirements; (2)

contract directly with the NSP for the DWS; and (3) submit the Switching requirements to the CRB.

The DWSA pro-forma contract to be adopted by the NSP with the GEOP End-User is hereto attached as Annex "C-2".

35.3. A GEOP End-User under the Dual/Multiple Billing scheme shall receive a bill from the RE Supplier/s containing, at least, the following:

RE Supplier Charges
Generation Charge
Supplier's Charge
Government Taxes
WESM Net Settlement Surplus (NSS) Allocation, if applicable;
TOTAL RE Supplier CHARGES

35.4. Payment Processing and Remittance for Dual/Multiple Billing Scheme

a. The GEOP End-User shall send DWS payments directly to the NSP, and electricity payments directly to the RE Supplier/s, within the timeframe specified in their billing agreement by use of electronic funds transfer, bank-to-bank transfers, or any other means agreed upon by both parties.

b. Should the GEOP End-User fail to pay the NSP, said GEOP End-User shall be liable for payment of the applicable surcharge. The NSP shall calculate the late payment charges based on the previously approved surcharge by the ERC for late payments, or calculated provided in Section 4.8.3, Article IV of the DSOAR, whichever is applicable, from the date the payment was due to be received by the NSP.

The settlement of late payment charges is in addition to, and not in lieu of, the rights and remedies otherwise available to the parties.

Section 36. SOLR Billing

36.1. The GEOP End-User shall be billed for electricity provided by the SOLR during the subsistence of the Last Resort Supply. The SOLR shall clearly indicate in the bill that it is for the SOLR Service and not the regular supply service provided to captive customers.

36.2. Each bill for SOLR service shall include the following items:

a. The amount of energy consumed, multiplied by the relevant WESM nodal price. The five percent (5%) premium shall be separately indicated;
b. The last approved unbundled monthly supply charge for the relevant GEOP End-User Segment, all approved pass through transmission and distribution wheeling costs, systems loss charges as well as the fixed monthly metering charges of the DU;
c. Universal Charge;
d. FIT-All;
e. Taxes (franchise and VAT);
f. Any previous balance;
g. The period covered by the current billing;
h. The date the bill was issued;
i. All relevant meter readings for the first and last day of the billing period;
j. The date the meter was read;
k. Meter serial and company number;
l. The telephone number and address of the SOLR office where a GEOP End-User may obtain information concerning its bill or the service provided, including emergency contact number; and
m. ERC's customer hotline number and website.

ARTICLE XI
DISCONNECTION/RECONNECTION PROCESS

Section 37. Disconnection Service due to Non-Payment

37.1 In the event that a GEOP End-User fails to pay the RE Supplier for services rendered by due date, the RE Supplier shall send a Written Notice of Disconnection to the GEOP End-User, 48-hours before the said disconnection.

37.2 The RE Supplier shall simultaneously inform the CRB of such notice of disconnection to the GEOP End-User.

37.3 The CRB shall forward the notice of disconnection to the NSP within 24 hours upon its receipt of said notice.

37.4 If the GEOP End-User fails to pay within the 48-hour period, the RE Supplier may send a request for disconnection to the CRB. The latter shall then forward the request for disconnection to the NSP within 24-hour period upon its receipt of said request.

37.5 The NSP shall disconnect the GEOP End-User within 24 hours upon receipt of request for disconnection, and notify the CRB that the GEOP End-User has been disconnected. The NSP shall not be responsible for verifying the validity of the RE Supplier's request for disconnection.

37.6 The GEOP End-User may pay the RE Supplier before the actual disconnection.

37.7 The RE Supplier shall be held liable to the GEOP End-User for any erroneous disconnection made by the NSP.

37.8 Any disconnection performed pursuant to this section is without prejudice to any charges, interest, or penalties that may be legally imposed.

Section 38. Deferment of Disconnection. The disconnection may be deferred should any of the following occur:

38.1 The outstanding amount due and demanded was settled prior to the scheduled disconnection date. The RE Supplier shall advise the NSP to desist from disconnecting service upon receipt of the GEOP End-User's payment.

38.2 The requesting party has recalled the notice of disconnection as a result of a special payment agreement or restructuring agreement entered into by the contracting parties prior to the scheduled disconnection date.

38.3 The requesting party has recalled the notice of disconnection for any valid reason not stated above.

38.4 The ERC or lawful authority has issued a stay order in accordance with Section 42 hereof.

Section 39. The disconnected GEOP End-User and/or RE Supplier shall continue to be liable for any and all of its outstanding obligations and liabilities under the DSOAR, OATS Rules, WESM Rules and all other existing contracts.

Section 40. A GEOP End-User shall be reconnected by the NSP within twenty-four (24) hours from occurrence of the following:

40.1 The GEOP End-User has presented to the RE Supplier proof that any of the grounds for disconnection as provided in their RE Supply Contract has been remedied (i.e. proof of payment) and that the corresponding reconnection fee has been paid;

40.2 The RE Supplier or the Primary RE Supplier shall then request for a reconnection of its GEOP End-User by submitting a notice of reconnection to the NSP through the CRB no later than twenty-four (24) hours from fulfillment of Sec. 40.1.

40.3 In the case of the disconnected GEOP End-User whose disconnection was requested by multiple suppliers, the reconnection will only be executed when the Primary RE Supplier, through the CRB, has issued the notice of reconnection to the NSP.

Section 41. Disconnection/Reconnection and Termination of SOLR Service

41.1 In the event the GEOP End-User violates any provision of the SOLR contract and fails to pay the SOLR for services rendered on the due date, the SOLR may send 48 hours written notice of disconnection to the GEOP End-User. If the GEOP End-User fails to pay the amount within the 48-hours period, the SOLR shall inform the CRB to disconnect said GEOP End-User, and the NSP shall execute such request within 24 hours from the receipt of the notice from CRB. The NSP shall not reconnect the GEOP End-User until the latter settles all obligations owed to the SOLR, upon receipt of the notice of reconnection from the CRB. Disconnection rules under Articles 20-21 of the Magna Carta for Residential End-Users issued by the ERC shall not apply here.

41.2 The SOLR may disconnect electricity service without written notice, only if a dangerous or hazardous condition arises. Service will not be reconnected until the dangerous or hazardous condition has been addressed.

41.3 If the GEOP End-User has entered into a GEOP Supply Contract with a new RE Supplier, electricity service shall be terminated by the SOLR only when the GEOP End-User has effectively switched to that new RE Supplier.

Section 42. The procedures for disconnection, deferment of disconnection and reconnection of GEOP End-Users shall also be governed by the NSP's existing rules, ERC and DOE relevant issuances.

ARTICLE XII
DISPUTES

Section 43. B2B System or Central Registration and Settlement System (CRSS)

43.1 In case of emergencies affecting the operation of the B2B System or CRSS, the CRB shall inform the ERC, TransCo or its successors-in interest or concessionaire, MSP, affected DUs, and RE Suppliers, by email and/or through publication on the website, of the situation within one (1) hour from its occurrence.

43.2 During such situation, transactions will be done through electronic mail, fax, and other means of communication capable of time stamping. The transaction timeframes, however, shall still be complied with.

Section 44. Discrepancy on Data

44.1 In case of data discrepancies (e.g. meter reading, billing errors, customer information), data from the NSP/MSP shall be used temporarily while the discrepancy is being investigated by the ERC.

44.2 Disputes on data discrepancy shall be resolved through the dispute resolution process of the ERC.

Section 45. Dispute Resolution/Consumer Complaints

45.1 Any dispute or complaint arising from the switching processes contained in these Rules, and such other procedures necessary to facilitate the Switching process, shall be resolved through the dispute resolution process of the ERC.

45.2 Any complaints concerning disconnection and other consumer related issues shall be resolved through the Consumer Complaint processes as provided under the ERC Rules of Practice and Procedures, as amended.

Section 46. B2B System or CRSS Transaction Timeframes. Requests, notices, responses to notices or requests, and data sent or received by a concerned entity beyond 5:00 P.M. on a business day or during weekends and/or holidays shall be deemed to have been received on the first working hour on the next business day.

ARTICLE XIII
REPORTORIAL REQUIREMENTS

Section 47. The CRB, without need of further notice, shall submit Quarterly Reports to the ERC, every 15th day of the month following the end of the quarter in review, which shall include the following information:

a. List of GEOP End-Users' name served by each RE Supplier;
b. Meter number;
c. Monthly registered demand (in kW);
d. Monthly metered quantity (in kWh);
e. Number of GEOP End-Users that switched, sorted by the DU franchise area;
f. Percent (%) increase in Switching per DU franchise area;

Section 48. All NSPs, without need for prior notice, shall submit a monthly report to the ERC, every 15th day of the month following the period in review. The said monthly reports shall include the following GEOP End-User information:

a. Full name;
b. Billing and service addresses;
c. Account number;
d. Meter number;
e. The most recent twelve (12) months of historical usage, if applicable, i.e. monthly registered peak demand (in kW) and monthly total registered energy consumption (in kWh); and
f. Other information such as telephone numbers and e-mail addresses, subject to agreement on confidentiality.

Section 49. Each RE Supplier without need of further notice, shall submit Quarterly Report to the ERC every 15th day of the month following the end of the quarter in review, which shall include the following information:

a. List of GEOP End-Users;
b. Total kilowatt-hour sales to GEOP End-Users;
c. Total kilowatt-hour sales per RE technology;
d. Total revenues from kilowatt-hour sales to GEOP End-Users; and
e. Period of contract for each GEOP End-User.

Section 50. The ERC may require other information that it may deem necessary or useful in carrying out its duties and functions.

Section 51. The ERC shall accord certain information disclosed and identified by the respective entities such level of strict confidentiality by subjecting the same to appropriate protective measures, as necessary.

ARTICLE XIV
TRANSITORY PROVISIONS

Section 52. Objective. To ensure an orderly transition from the existing structure to a competitive environment and to protect the interests of all stakeholders in the electricity industry, a transition period of three (3) months from the promulgation of these Rules shall be observed.

Section 53. General Provisions

During the Transition Period:

53.1. The CRB, together with industry stakeholders, shall develop and finalize the Market Manuals, Business Process and IT design of the B2B and institute the initial preparation and population of its registration database using the latest available information.

53.2. The RE Suppliers shall submit to the CRB for posting in its website, contracting parameters, to include its general offer terms and conditions such as indicative average contract price offers and scope of services offered.

53.3. DUs shall regularly update and submit such data to the ERC and CRB every fifteenth (15th) day of the month, without need of further notice. Failure to comply with the said requirements or submit accurate information shall be subject to the appropriate ERC fines and penalties.

ARTICLE XV
MISCELLANEOUS PROVISIONS

Section 54. Data Privacy. All Mandated Entities shall ensure compliance with the prevailing laws on data privacy, in the gathering, storing, protection, use, and destruction of information of the GEOP End-User.

Section 55. Notification. All notices contemplated in these Rules shall be in any of the following means of communication, except for disconnection cases, wherein notices shall always be in writing:

a. in writing;
b. electronic mail;
c. fax; and
d. other means of communication capable of time stamping.

The CRB, as the central repository of data concerning GEOP, shall provide its own procedures for the authentication of the electronic mail addresses, and telephone or cellphone numbers that will be used in operation of this program.

Section 56. Exception. Where good cause appears, the ERC may allow an exemption from any provision of these Rules, if such is found to be in the public interest and is not contrary to law or any other related rules and regulations.

Section 57. Separability. If any provision of these Rules is declared invalid or unconstitutional by a court of competent jurisdiction, those provisions which are not affected thereby shall continue to be in full force and effect.

Section 58. Amendments. The ERC may amend and expand these Rules from time to time when necessary to meet the needs of the GEOP End-User, RE Supplier, SOLR and the ERC. Before making any significant revisions to these Rules, the ERC will undertake public consultation as appropriate.

Section 59. Sanctions. The ERC shall impose the appropriate fines and penalties for any violation or non-compliance with these Rules, pursuant to the "Guidelines to Govern the Imposition of Administrative Sanctions in the Form of Fines and Penalties Pursuant to Section 46 of R.A. 9136".

Section 60. Effectivity. These Rules shall take effect within fifteen (15) days following its complete publication in a newspaper of general circulation or in the Official Gazette.

JGC/CLB/SOM

Annex B-1

CONNECTION AGREEMENT

This **AGREEMENT** is made and entered into in _____ City, Philippines, this day of _____, _____, by and between:

_____, a corporation/cooperative duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by Mr. _____, (designation) and Mr. _____ (designation) hereinafter referred to as "Distribution Utility or **DU**";

-and-

_____, duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by _Mr. _____, (designation) hereinafter referred to as "**GEOP END-USER**";

"**DU"** and "**GEOP END-USER**" hereinafter shall collectively be referred to as "**PARTIES**".

WITNESSETH THAT:

WHEREAS, the **DU** is a Distribution Utility (DU) with a legislative franchise to operate and maintain an electric distribution system in the Cities/Municipalities of _____;

WHEREAS, the **GEOP END-USER** has applied with the **DU** for distribution connection service and has complied with the **DU**'s applicable pre-connection requirements;

WHEREAS, Section 4.4 of the Distribution Services and Open Access Rules (DSOAR), as amended, provides that End-users may contract directly with the **DU** for Connection Assets and Services;

WHEREAS, Section 9 of the GEOP Rules provides that the Connection Agreement shall be entered into by a **GEOP End-User** and **DU**;

WHEREAS, the **PARTIES** are willing to enter into a Connection Agreement for the **DU** to provide distribution connection services to the **GEOP END-USER**;

NOW, **THEREFORE**, the foregoing premises considered, the **PARTIES** hereby mutually agree as follows:

I. GENERAL TERMS AND CONDITIONS GOVERNING CONNECTION

Section 1.1. Scope. This Agreement is solely for the provision of distribution connection service to the **GEOP END-USER**. Energy supply, wheeling and other services that the **GEOP END-USER** may need shall be covered by separate agreements in accordance with the existing rules and regulations of the Energy Regulatory Commission (ERC).

Section 1.2. Connection Point. The **GEOP END-USER** and the **DU** agree that the Connection Point is as described in **Annex "A"** hereof. In case of a non-residential GEOP End-user, and, if necessary, upon the determination of the **DU**, the demarcation between the properties and/or equipment of the **PARTIES,** and the operational responsibilities of each, are contained in the attached **Annex "B"** of this Agreement.

Section 1.3. Connection Specifications. The connection will be made at the standard nominal voltage of _____volts, _____wire, ____ phase, and __ hertz. The capacity of the **DU**'s facility reserved for the **GEOP END-USER** is hereby fixed at _____kW.

Section 1.4. Standard Connection Facilities (SCF). The **GEOP END-USER** understands that the facilities covered by this Agreement are limited to the SCF as particularly described in **Annex "A,"** which shall be subject to the payment of appropriate ERC-approved Guaranteed Minimum Billing Demand (GMBD). Such GMBD shall be replaced by the Standard Connection Charges (SCC) as soon as the same has been approved by the ERC. The SCC is currently part of the Distribution Wheeling Service (DWS) charges until such time the ERC comes up with a separate SCC.

Unless otherwise amended by a subsequent written Agreement between the **GEOP END-USER** and the **DU**, or otherwise directed by a lawful authority, or a subsequent law, rule, or regulation, the GMBD or SCC will be paid by the **GEOP END-USER** to the **DU**, through the GEOP END-USER's Renewable Energy Supplier (RE Supplier), as part of the **DU**'s bill to such RE Supplier in accordance with the billing policies provided in ANNEX-A of Resolution __08__ Series of 2021. Notwithstanding Article IV hereof, the GBMD or SCC shall continue to run, and be paid by the **GEOP END-USER** in the manner prescribed

herein, until all the facilities of the **DU** are removed from the premises of the **GEOP END-USER**.

Section 1.5. Modification and/or Extension of Lines and/or Facilities. Any modification and/or extension of lines and/or facilities beyond the SCF shall be made in accordance with the DSOAR, as amended, or any other rule or regulation of the ERC.

II. DUTIES AND RESPONSIBILITIES OF THE DU

The following are the rights, duties, and responsibilities of the **DU,** in addition to those already existing under applicable laws, rules, and regulations:

Section 2.1. Connection Service. The **DU** shall provide connection service to its distribution system that is non-discriminatory per Section 2.5.3 of the DSOAR. The DU shall also, at all times, ensure uninterrupted service to the **GEOP END-USER** except during instances enumerated in Article IV of this Agreement. The **DU** shall adhere to the performance standards set by the ERC under existing rules and regulations.

Section 2.2. SCF, Line Extensions, and Other Associated Equipment. The **DU** shall install, maintain, and operate, in proper working condition, the SCF, line extensions, and other associated equipment and devices (transformers, meters, and other apparatus), which may be required for the provision of distribution connection service to the **GEOP END-USER.** All such equipment shall remain to be the property of the **DU**.

Section 2.3. Location and Maintenance of* DU*'s Equipment inside the GEOP END-USER's premises. The **DU** shall install its distribution line facilities, poles, wires, transformers, and other equipment on the property of the **GEOP END-USER** or within the buildings of the **GEOP END-USER**, if necessary, at a point or points convenient, visible, and readily accessible for inspection and maintenance. For these purposes, the **GEOP END-USER** shall grant the right to the use of suitable space for the installation of the necessary equipment and facilities at **no cost** to the **DU**. Maintenance of these poles, lines, transformers, and other equipment shall be performed by the **DU**.

Section 2.4. Data Requirements and Contingency/Emergency Procedures. The **DU** shall comply with all of the provisions covering data requirements and contingency/emergency condition procedures established in the

DSOAR, as amended, Philippine Distribution Code (PDC), the attached **Annex "B"**, if applicable, and other applicable government rules and regulations.

III. DUTIES AND RESPONSIBILITIES OF THE GEOP END-USER

The following are the duties and responsibilities of the **GEOP END-USER,** in addition to those already existing under applicable laws, rules, and regulations:

Section 3.1. GEOP End-user Equipment. The **GEOP END-USER** shall install only such motors or other apparatus that are suitable or acceptable for operation with the character of service provided by the **DU** and which will not be detrimental to the same. The electric power must not be used in such manner as to cause voltage fluctuations or disturbances in the **DU**'s distribution system. The **GEOP END-USER** shall ensure that its equipment can operate reliably and safely within the limits specified in Article 3.2 of the Philippine Distribution Code (PDC) during normal conditions and can withstand such limits specified in the said Article.

Section 3.1.1. All apparatus used by the **GEOP END-USER** shall be such type as to secure the highest practicable commercial efficiency, power factor, and the proper balancing of phases. Motors, which are frequently started, or motors arranged by automatic control, will be of a type that will give maximum starting torque with minimum current flow, and equipped with controlling devices, approved by the **DU**. The **DU** shall have the sole discretion as to the suitability or acceptability of the apparatus or appliances to be connected to its lines and also as to whether the operation of such apparatus or appliances will be detrimental to its general service.

Section 3.1.2. The **GEOP END-USER** shall notify the **DU**, and its **RE Supplier,** in writing, of any increase in its connected load, equipment, or capacity beyond the capacity of the **DU's** facility as indicated in Section 1.3 hereof. No additions to the equipment or load connected to the **DU's** facility shall be allowed, except by written consent of the **DU**. Any damage or injury to person or property, resulting to accident or otherwise, due to the commission of the above-stated acts without consent of the DU shall be the sole responsibility of the **GEOP END-USER.** Subject to a forty eight-hour prior written consent by the **DU**, any violation of this clause shall be a ground for the termination of this Agreement.

Section 3.2. Warranty. The **GEOP END-USER** warrants that any and all **GEOP END-USER** equipment connected to or to be connected to the **DU**'s distribution system meet the requirements and standards set under applicable laws, rules and regulations to avoid or minimize any possible damage to the **DU**'s distribution system. Any breach of this warranty, whether intentional or unintentional, particularly those which result in emergencies or unsafe operating conditions, gives the **DU** the right to disconnect the services of the **GEOP END-USER**. Reconnection under this provision will only be made upon the **DU**'s determination that the breach has been remedied and upon the payment of a Reconnection Fee to the **DU,** as approved by the ERC.

Section 3.3. Entry and Access. By virtue of this Agreement, the **GEOP END-USER** hereby gives the **DU,** its authorized employees, and/or representatives express permission to enter its premises without being liable for trespass to dwelling for the purpose of operating, maintaining, inspecting, installing, reading, testing, replacing, or otherwise disposing its facilities and/or equipment thereat, and/or removing the same upon termination of the Agreement or for any cause provided under existing law or ERC rules and regulations. Should the **DU** be unable to carry out the foregoing actions by reason of the **GEOP END-USER**'s failure or refusal to grant the **DU** entry and access to its premises, and such inability by the **DU** to perform such actions directly or indirectly results in injury or death or property damage to the **GEOP END-USER** or any third person, the **GEOP END-USER** shall be solely liable for any liability arising from, or in connection with, such incidents.

Section 3.4. Loss or Damage to* DU *Facilities. The **GEOP END-USER** shall be responsible for protecting the meters, wires, poles, cables, transformers, and all other facilities and equipment of the **DU** installed in **GEOP END-USER**'s premises and if lost, destroyed or damaged by fire, or any other cause whatsoever other than ordinary wear and tear, *force majeure*, or fortuitous event, the **GEOP END-USER** shall pay for the cost of such meters, wires, poles, cables, transformers, facilities, and equipment and/or the cost of repairing or replacing the same.

Section 3.5. Tampering and Other Illegal Acts. The **GEOP END-USER** shall be liable for tampering, interfering with, or breaking seals of meters or other equipment of the **DU** installed on the **GEOP END-USER**'s premises pursuant to R.A. 7832, otherwise known as "*Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994", and its Implementing Rules*, as amended. The **GEOP END-USER** agrees that no one except authorized employees

and/or representatives of the **DU** showing proper identification card shall be allowed to make any internal or external adjustments on any meter or any other equipment owned by the **DU**. An RE Supplier may be held liable for non-technical losses when found to condone, collude, conspire, or engage in the pilferage of electricity or tampering with any meters or DU facilities.

Section 3.6. Reporting of Outages, Interruptions, and Irregularities. The **GEOP END-USER** shall report all outages, interruptions, and irregularities to the **DU** without delay.

Section 3.7 Data Requirements and Contingency/ Emergency Procedures. The **GEOP END-USER** shall comply with all of the provisions covering data requirements and contingency/emergency conditions procedures established in the DSOAR, as amended, PDC, the attached **Annex "B"**, if applicable, and other applicable government rules and regulations.

Section 3.8. Requirements for New Connections. If the **GEOP END-USER** is a newly connected GEOP End-user, it shall, prior to connection, submit its (i) Certificate of Final Electrical Inspection (CFEI); (ii) test results of its equipment (if available); and (iii) such other documentary requirements of the **DU** to ensure that the facilities of the **GEOP END-USER** are ready for energization.

IV. DISCONNECTION AND INTERRUPTION OF SERVICE

The **DU** shall disconnect the service of the **GEOP END-USER** under the following instances:

Section 4.1. Execution of Routine Maintenance and Similar Acts.In order to execute any routine maintenance, repairs, or modification to the **DU**'s or **GEOP END-USER**'s facilities and for the purpose of ascertaining their integrity, completeness, accuracy, safety, and reliability to remain connected to the distribution facilities and for any other legitimate purpose, the **DU** may interrupt the service upon prior notice, two (2) days before the routine maintenance. In the same manner, the **GEOP End-User** may request for service interruption on the same grounds with prior reasonable notice to the **DU**.

A notice shall be provided by the **DU** to **GEOP END-USER** and **RE Supplier** if the interruptions or suspensions of service will create a dangerous or life-threatening condition on the GEOP End-User's premises. The **GEOP END-USER** shall also notify their **RE Supplier**

or the **DU** if a condition exists on the **GEOP END-USER's** premises such that a suspension or interruption of service will create a life-threatening or dangerous condition.

The **DU** shall comply with all reporting requirements of the Distribution Code. In addition to those requirements, shall either issue a written public notice published in a newspaper of general circulation in the DU's service territory or deliver a report through electronic media, or any other means, to all affected GEOP End-users, affected RE Suppliers, and the ERC, stating the precise reasons causing the curtailment or interruption within seven (7) days from the occurrence of curtailment or interruption. The public notice or report may cover more than one curtailment or interruption if there were multiple occurrences prior to the seven-day deadline for the first occurrence. The provision of Section 1.8.5 of the DSOAR shall apply.

Section 4.2. Emergency Conditions and/or Unsafe Operating Conditions. The **DU** may interrupt the service at any time, *without the need of a notice*, in the event of an emergency or to correct unsafe operating conditions in the connection facilities, or, *with due notice*, when the **GEOP END-USER** is no longer compliant with the provisions of the DSOAR, as amended, the PDC, other applicable laws, or this Agreement.

The DU may curtail or interrupt a Connection and/or DWS in the event of an emergency arising anywhere on the distribution system or the interconnected systems of which it is a part, which emergency poses a threat to the integrity of its system or the systems to which it is directly or indirectly connected if, in its judgment, such action may prevent or alleviate the emergency condition. The DU may interrupt service when necessary, in DU 's prudent judgment, for inspection, test, repair, or changes in DU's Distribution System, or when such interruption will lessen or remove possible danger to life or property, or will aid in the restoration of DWS.

The DU shall provide advance notice to the GEOP End-user, if reasonably possible. Such notice shall be made at least two (2) days prior to said curtailment, reduction, or interruption and may be made by electronic notice (such as facsimile, text messages, or e-mail) to all affected GEOP End-user or through radio broadcast, television broadcast, or local newspaper with specific identification of location, time and expected duration of outage. Such information shall also be posted on the Customer Bulletin Board. The DU shall submit a written report to the ERC within three (3) business days from the date of curtailment, reduction, or interruption, containing the reasons for the curtailment, reduction, or interruption and the actions taken by the

DUs to resolve the issues. In instances where notification to the end-user was not reasonably possible, an explanation why such advance notice was not delivered shall likewise be included in the written report to the ERC.

Section 4.3. GEOP End-user with RE Supplier/Supplier of Last Resort (SOLR). If the **GEOP END-USER** has a contract with an RE Supplier/SOLR for the supply of electricity, the **DU** shall have the right to discontinue service, in the following instances:

Section 4.3.1. Within twenty-four hours from the **DU**'s receipt of the written request for disconnection from the Central Registration Board (CRB). The **DU** is not required to verify the validity of the request and shall not be held liable to the **GEOP END-USER** should the latter protest the disconnection; and

Section 4.3.2. All other cases not covered by Section 4.3.1 above, such as but not limited to non-payment of bills of the **GEOP END-USER**'s RE Supplier/SOLR to the **DU**, disconnection of service shall be in accordance with relevant rules and regulations.

Section 4.4. Failure to comply with the terms and conditions of this Agreement. The **DU** shall have the right to discontinue service to the **GEOP END-USER** for any violation or breach of its obligation and duties under this Agreement or any applicable laws, rules and regulations.

In no case shall the **DU**'s exercise of its rights under this Article exempt the **GEOP END-USER** from its obligation of paying any of its outstanding obligations to the **DU**, subject to ERC rules and regulations.

V. RECONNECTION OF SERVICE

The **DU** shall reconnect the service of the **GEOP END-USER** under the following instances:

Section 5.1. In cases of: (i) Sections 4.1 and 4.2, upon termination of any routine maintenance, emergency, unsafe conditions, and other similar circumstances; (ii) Section 4.3, upon receipt of request for reconnection from the CRB, or when the RE Supplier/SOLR has already settled its obligations to the **DU**; and (iii) Section 4.4 when the **GEOP END-USER** presents proof that its violation of the terms and conditions of this Agreement, or any applicable laws has been corrected and has ceased, as the case may be.

Section 5.2. Payment of Other Reasonable Costs. The reconnection of service of the **GEOP END-USER** shall be without prejudice to the payment of actual costs incurred by the **DU** in case the disconnection is: (i) as a result of the **GEOP END-USER**'s non-compliance with the terms and conditions of this Agreement, or applicable laws, rules, and regulations; (ii) upon request of the **GEOP END-USER;** (iii) caused by any emergency or unsafe condition due to the fault of the **GEOP END-USER,** and damage is caused to the **DU**, its employees or authorized representatives or other third persons.

Section 5.3. Other Requirements for Reconnection. For disconnections pursuant to Sections 4.2 to 4.4 wherein the **GEOP END-USER**'s electric service has been disconnected for:

a. At least six (6) months, the **GEOP END-USER** shall submit a written undertaking that its facilities are ready for energization; or

b. More than one (1) year, the **GEOP END-USER** shall submit a new CFEI pursuant to the Philippine Electrical Code (PEC).

In any case, the **DU** may require the **GEOP END-USER** to submit further documentary requirements prior to reconnection to verify that the latter's facilities are ready for energization.

VI. LIABILITIES AND OBLIGATIONS

Section 6.1. Provision of Distribution Connection Service. The **DU**'s liability to the **GEOP END-USER**, with respect to the provision of distribution connection service, shall be limited to those set forth in the DSOAR, as amended, and other applicable laws, rules, and regulations of the ERC.

Section 6.2. Undelivered Energy, Damages, and Other Losses. The **GEOP END-USER** understands that the **DU** undertakes scheduled and/or unscheduled maintenance, repairs, and replacement of its facilities. In such cases, and in other cases of outages due to *force majeure, fortuitous event,* or for reasons not attributable to the fault of the **DU,** the **GEOP END-USER** agrees that the **DU** shall not be liable for any undelivered energy, or for damages, whether direct or consequential, including, and without limitation to, loss of profits, loss of revenue, or loss of production capacity, as a result of interruption or disconnection of its service if the DU has exercised due

care.

Section 6.3. Force Majeure/Fortuitous Event/Other Event. The **DU** shall not be liable to the **GEOP END-USER** with respect to the non-performance of any of its obligations under this Agreement in the event and to the extent that such non-performance is directly caused by force majeure or a fortuitous event including other events that are beyond the control of the **DU**. Force majeure and fortuitous event including other events shall mean such event: (i) that is not within the reasonable control, directly and indirectly, of the **DU**; and (ii) which despite the exercise of reasonable diligence, cannot be prevented, avoided or removed by the **DU**; provided that, the **DU** has taken all reasonable precautions and due care in order to avoid or mitigate the effect of such event on the **DU**'s ability to perform its obligations under this Agreement. These events shall include, but may not be limited to, any of the following:

a. A typhoon, storm, tropical depression, flood, drought, volcanic eruption, earthquake, tidal wave, or landslide;

b. An act of public enemy, war (declared or undeclared), sabotage, blockade, revolution, riot, insurrection, civil commotion, or any violent or threatening actions;

c. Non system-wide and system-wide Transmission constraints and/or outages in the Transmission and Distribution System;

d. Any lawful orders rendered by competent authority, including any advice or warnings of government authorities for safety reasons; and

e. Other analogous circumstances.

Section 6.4. Cancellation and Modification during Processing. The **GEOP END-USER** shall be liable for any processing costs incurred, including reimbursement for the cost of whatever facilities, equipment, or appurtenances already installed and which can no longer be used by the **DU**, if the **GEOP End-User**:

i. cancels this Agreement or its application for connection service with the **DU**; or

ii. requests any amendment to its connection facilities, at the time of the processing of the Agreement or its application or installation of said facilities.

VII. EFFECTIVE TERM AND TERMINATION OF AGREEMENT

Section 7.1. Effectivity. This Agreement shall take effect upon execution hereof and shall be binding upon the **PARTIES**, their successor, and assigns, unless terminated by either party by serving written notice to the other at least thirty (30) days before the effective date of termination.

This Agreement may likewise be terminated:

a) after due notice, for violation of any of the obligations set forth herein by any party; and/or

b) without any need of prior notice:

   i. when this Agreement is rendered invalid and/or unenforceable by law or competent authority;

   ii. when the performance of any obligations under this Agreement has been rendered legally or physically impossible; or

   iii. in case of violation by the **GEOP END-USER** of R.A. 7832, otherwise known as "*Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994*".

Upon termination of this Agreement, all rights and obligations of the **PARTIES** hereunder shall cease, except:

a) such rights and obligations as may have accrued as of the date of termination; and

b) any right or obligation which survives the termination or expiration.

VIII. MISCELLANEOUS PROVISIONS

Section 8.1. Governing Laws. This Agreement shall be governed by and construed in accordance with the laws of the Republic of the Philippines, policies, rules and regulations, administrative orders and any amendments and modifications thereof, emanating from the Department of Energy, the ERC, other government agencies,

or authorized bodies having jurisdiction. The said law, policies, rules, and regulations shall be deemed incorporated in this Agreement.

Section 8.2. Disputes. If any dispute shall arise between the **PARTIES** in connection with or arising out of this Agreement, either party may request in writing to meet within five (5) business days from occurrence thereof and attempt to resolve the dispute. In the event that such dispute remains unresolved within ten (10) business days after such request, the aggrieved party may bring the dispute before the ERC for resolution, if said dispute is within the exclusive jurisdiction of the ERC. Otherwise, the aggrieved party may seek redress from the regular courts. In case of the latter, the PARTIES hereby agree that the venue for any court action shall be the regular courts of the principal address where the DU is located.

Section 8.3. Severability. If at any time, one or more provisions in this Agreement shall be determined to be illegal, invalid, or unenforceable in any respect, the legality, validity, and enforceability of the remaining provisions of this Agreement shall not be affected or impaired thereby, provided that the remaining provisions are sufficient to render to each Party the benefits contemplated hereby.

Section 8.4. Amendment/Modification of Agreement. This Agreement, its schedules, attachments and annexes supersede any previous agreement, arrangements or representation between the Parties, whether oral or written, in respect of the subject matter of this Agreement and shall constitute the entire agreement between the Parties in relation thereto. No amendments of this Agreement or consent to any departure therefrom, shall in any way be of any force or effect unless confirmed in writing and signed by the **PARTIES**.

Section 8.5. Non-Waiver of Rights. The failure or delay of any Party, at any time, to require performance of any provision hereof shall in no manner affect the right to enforce the same at a later time. No waiver by any Party of the breach of any term or covenant contained in this Agreement, whether by conduct or otherwise, shall be deemed to be construed as a further or continuing waiver of such breach or waiver of the breach of any other term or covenant, unless such waiver is in writing.

Section 8.6. Warranties. Each Party hereby represents and warrants that: (a) it is duly [incorporated/a sole proprietorship/a partnership/a cooperative] validly existing and in good standing under the laws of the Republic of the Philippines; (b) it possesses full power and authority to enter into this Agreement, and has taken all the necessary action to authorize the person/s signing the contract on its

behalf; (c) that it has taken all actions to authorize the entry into and the delivery of this Agreement, and the transactions contemplated hereby, and the performance of its obligations hereunder; (d) it has the power, licenses and permits required to carry on its business as it is being conducted and as proposed to be conducted; (e) this Agreement and the consummation of the transactions contemplated herein are its legal, valid, binding and enforceable obligations; and (f) it shall, in good faith, comply with all its obligations under this Agreement.

Section 8.7. Assignment of Rights. The **GEOP END-USER** shall not assign its rights under this Agreement. In case the **GEOP END-USER** is a partnership or a corporation, it shall advise the **DU** in writing, of any change in its name, or status brought about by merger, consolidation, amendment of articles of incorporation, sale of business, or transfer of ownership, within thirty (30) days from the effective date thereof. Violation of this provision shall give the **DU** the right to disconnect the service of the **GEOP END-USER** or terminate this Agreement, without prejudice to any action that the **DU** may bring for the collection of any outstanding obligation of the **GEOP END-USER** to the **DU**.

Section 8.8. Counterparts. This Agreement may be executed in any number of counterparts and by the different parties hereto on separate counterparts, each of which when so executed and delivered shall be an original, but all of which shall together constitute one and the same instrument.

IN WITNESS WHEREOF, the **PARTIES** hereto have caused the foregoing instrument to be executed by their respective offices and/or their representatives, thereunto duly authorized at the place and on the date first above written.

(This space was intentionally left blank)

For the DU:	For the GEO End-User:
Signature Over Printed Name and Designation	**Signature Over Printed Name and Designation**
Date signed:	Date signed:

SIGNED IN THE PRESENCE OF:

Witness Name, Signature Over Printed Name	Witness Name, Signature Over Printed Name

ACKNOWLEDGMENT

Republic of the Philippines }
_____ } S.S.

Before me, a Notary Public, for and in the City/Municipality of _____, personally appeared the following parties with their respective competent proof of identities:

DU	*any government issued ID*
GEOP END-USER	*any government issued ID*

known to me and to me known to be the same persons who executed the foregoing instrument, consisting of _____ pages, including the page whereon this Acknowledgment is written, with all pages signed by both **PARTIES** and their instrumental witnesses, and they acknowledged to me that the same is their free and voluntary act and deed and that of the Corporation/ **DU** they respectively represent.

IN WITNESS WHEREOF, I have hereunto set my hand and seal this _____ day of _____, at _____, Philippines.

Doc. No._____;
Page No._____;
Book No._____;
Series of _____.

TRANSMISSION SERVICE AGREEMENT BETWEEN _____AND _____

This **TRANSMISSION SERVICE AGREEMENT** (hereinafter referred to as the "Agreement") is entered into by and between:

The **NATIONAL TRANSMISSION CORPORATION OR ITS SUCCESOR-IN INTEREST OR CONCESSIONAIRE**, _____ **("TransCo or its successors-in-interest or concessionaire")** a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office address at _____, represented by its _____(Position)_____, ___(Representative)____, who is duly authorized to represent **TransCo or its successors-in-interest or concessionaire** in this Agreement;

- and -

The _____ **("GEOP End-User")** a sole proprietorship/partnership/corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office address at _____, represented by its _____ , _____, who is duly authorized to represent **GEOP End-User** in this Agreement;

TransCo or its successors-in-interest or concessionaire and the **GEOP End-User** shall be referred to individually as "Party" and collectively as "Parties,"

WITNESSETH THAT:

WHEREAS, on December 13, 2006, the Energy Regulatory Commission ("ERC"), in ERC Case No. 2006-015RC, approved the Revised Rules, Terms, and Conditions for the Provision of Open Access Transmission Service ("OATS Rules") which govern the provision of transmission services to qualified grid users;

WHEREAS, the **GEOP End-User** has submitted an application for transmission service and the **TransCo or its successors-in-interest or concessionaire** has determined that the **GEOP End-User** has complied with all the requirements.

NOW, THEREFORE, in view of the foregoing premises and in consideration of the terms and conditions set forth below, the Parties hereby agree that **TransCo or its successors-in-interest or concessionaire** shall be the Transmission Service Provider (TSP) of the **GEOP End-User**, subject to the following terms and conditions:

I. SCOPE OF AGREEMENT

1. **Scope of Agreement.** This Agreement shall govern the provision of transmission service by **TransCo or its successors-in-interest or concessionaire** to the **GEOP End-User**.

II. GENERAL PROVISIONS

2. **Application and Incorporation of the OATS Rules, Grid Code, and Other Issuances.** The obligations of the Parties under this Agreement shall be governed by the OATS Rules, Philippine Grid Code ("PGC"), and other relevant issuances, orders, rules and regulations as promulgated by the proper government agencies and authorities as if they are originally written herein. This shall be understood to include all amendments and modifications thereof, as may be issued from time to time as long as vested rights under this Agreement are not impaired.

3. **Definition of Terms.** For purposes of this Agreement, and unless the express provisions or the context otherwise requires, the capitalized terms used herein shall have the same meaning as defined in the OATS Rules and the PGC, as may be amended from time to time.

III. EFFECTIVITY AND TERM

4. **Effectivity and Term.** This Agreement shall take effect on the ____ day of _____ 20__ until the ____ day of _____ 20__, unless earlier terminated in accordance with this Agreement.

IV. OBLIGATIONS OF THE PARTIES

5. **Obligations of the Parties.** During the effectivity of this Agreement, **TransCo or its successors-in-interest or concessionaire** shall provide the necessary transmission service to the **GEOP End-User**, and the **GEOP End-User** shall pay the applicable charges for such service, in accordance with the OATS Rules and the relevant Schedules, provided that the **GEOP End-User** shall remain liable for any unpaid applicable charges despite the termination of this Agreement.

6. **Execution of Related Agreements**. The Parties shall enter into a Metering Service Agreement to govern **TransCo or its successors-in-interest or concessionaire's** provision of metering services to **GEOP End-User**.

In accordance with Section 3 (ggg) of ANNEX- A of Resolution ___ Series of 2021, this TSA shall also be the Connection Agreement between **TransCo or its successors-in-interest or concessionaire** and the GEOP End-User.

7. **Schedules.** The following Schedules shall form part of this Agreement, as may be applicable:

Schedule A	OATS Services (attached to this Agreement);
Schedule B:	Standard Planning Data;
Schedule C:	Detailed Planning Data;
Schedule D:	Electrical Diagrams;
Schedule E:	Connection Point Drawings;
Schedule F:	Asset Boundary Information;
Schedule G:	Protection Arrangements and Settings;
Schedule H:	Metering Requirements;

Schedule I: Authorized Representatives;
Schedule J: Proposed Maintenance Program;
Schedule K: Critical Events List;
Schedule L: Load Shedding and Curtailment Procedures;
Schedule M: Contingency Actions;
Schedule N: Registered Equipment Data;
Schedule O: Test and Commissioning Procedures;
Schedule P: Statement of Readiness to Connect;
Schedule Q: Certificate of Approval to Connect; and
Schedule R: Other information, as may be applicable, such as:
R1: Generation Unit Data
R2: Detailed Generation Unit Data

7.1. Within ten (10) business days after the signing of this Agreement, **TransCo or its successors-in-interest or concessionaire** shall notify the **GEOP End-User** in writing of the applicable Schedules for submission under this Agreement. The **GEOP End-User** shall submit to **TransCo or its successors-in-interest or concessionaire** the prescribed applicable Schedules within thirty (30) days from receipt of such notice.

7.2. The **GEOP End-User,** within 30 days from receipt of notice from **TransCo or its successors-in-interest or concessionaire,** shall apply and secure approval from **TransCo or its successors-in-interest or concessionaire** for new connection points or modifications of existing connection points. Approvals shall be subject to the submission by the **GEOP End-User** of relevant documents as may be required by **TransCo or its successors-in-interest or concessionaire**. In case the application for new or modified connection point is approved, the approval will constitute as an amendment to relevant Schedules of this Agreement, and **TransCo or its successors-in-interest or concessionaire** shall issue to the **GEOP End-User** a Certificate of Approval to Connect. The **GEOP End-User** hereby agrees to fully comply with the conditions indicated in the Certificate of Approval to Connect, if any, within the period prescribed therein. Failure of the **GEOP End-User** to comply with said conditions will give rise for **TransCo or its successors-in-interest or concessionaire** to exercise its

rights to Suspend or Terminate this Agreement.

V. BILLING, PAYMENT, AND CREDIT SUPPORT

8. **Billing and Payment.** The Rates, Methodology, Billing, and Settlement Module of the OATS Rules shall govern billings by **TransCo or its successors-in-interest or concessionaire** and the payment of such billings by the **GEOP End-User**.

9. **Mode of Payment.** Payment shall be made by way of:

a) Checks to be paid through Over-the-Counter (OTC) deposits;
b) On-line funds transfer to **TransCo or its successors-in-interest or concessionaire** 's account;
c) Through an Automatic Debit Account (ADA) arrangement;
d) Cash through OTC deposits; or
e) Other forms as may be approved by **TransCo or its successors-in-interest or concessionaire** .

10. **Check Payments.** In case a check issued is dishonored, the applicable penalty under the OATS Rules shall accrue from the time the obligation became due and demandable. **TransCo or its successors-in-interest or concessionaire** also reserves the right to pursue other available actions against the **GEOP End-User**.

11. **Application of Payments.** In case the **GEOP End-User** is liable for any amounts due under this Agreement, including penalty~~—~~ interest, **TransCo or its successors-in-interest or concessionaire** shall first apply any payments to past due amounts before applying the same to the current billing.

12. **Penalty Interest.** Interest over any unpaid account shall be governed by Module F of the OATS Rules.

13. **Credit Support.** The **GEOP End-User** shall provide credit support or additional credit support in a form and on terms acceptable to the **TransCo or its successors-in-interest or concessionaire** pursuant to the OATS Rules.

13.1. The **TransCo or its successors-in-interest or concessionaire** may call on any credit support provided under Rule A8.1 of the OATS Rules and apply such credit support to past due accounts, without prejudice to Sections 15 and 16 of this Agreement.

14. **Designated Commercial Banks.** In accordance with Module F5 of the OATS Rules and for purposes of determining interest on amounts unpaid after Due Date, including amounts placed in escrow or in any other form placed by reason of a dispute, **TransCo or its successors-in-interest or concessionaire** shall inform the **GEOP End-User** in writing of its designated commercial banks. **TransCo or its successors-in-interest or concessionaire** shall have the right to change its list of designated commercial banks and shall notify the **GEOP End-User** within a reasonable time in writing of the said change, which shall be effective commencing the billing month following the receipt of the notice.

VI. TERMINATION AND SUSPENSION OF SERVICE

15. **Suspension of Service due to GEOP End-User's Fault**. **TransCo or its successors-in-interest or concessionaire** may suspend the provision of transmission service to the **GEOP End-User** for causes in accordance with the OATS Rules as an interim measure until such time that the **GEOP End-User** has remedied the cause of suspension and subject to payment of reconnection fee.

If applicable, **TransCo or its successors-in-interest or concessionaire** shall likewise impose the suspension of transmission service to the **GEOP End-User** for failure to secure a supply agreement with RE supplier/s.

16. **Termination.** In the event that the **GEOP End-User** fails to remedy the cause of suspension within ninety (90) days from the imposition thereof, **TransCo or its successors-in-interest or concessionaire** may terminate this Agreement without need of further notice. Services shall resume only if the cause of termination has been remedied by the **GEOP End-User**, and subject to payment of reconnection fee.

The Parties may also terminate this Agreement in accordance with the Default and Termination provisions in the OATS Rules. Termination shall be without prejudice to the fulfilment of the Parties' remaining obligations under this Agreement, if any.

17. **No Liability for Termination or Suspension of Service. TransCo or its successors-in-interest or concessionaire** shall not be liable for damages of any form arising from or related to, directly or indirectly, the lawful and proper exercise of its rights under this Agreement and in accordance with the grounds provided under the OATS Rules, and other lawful and valid issuances from government entities to suspend service or terminate this Agreement.

18. **Termination of Related Agreements.** The Related Agreements (i.e. Metering Service Agreement) may also be terminated upon the termination of this Agreement, at the option of **TransCo or its successors-in-interest or concessionaire** .

VII. ASSIGNMENT

19. **Assignment.** This Agreement may be assigned in accordance with the Assignment provision under the OATS Rules.

VIII. DISPUTE RESOLUTION

20. **Disputes.** If any dispute shall arise between the **PARTIES** in connection with or arising out of this Agreement, either party may request in writing to meet within five (5) business days from occurrence thereof and attempt to resolve the dispute. In the event that such dispute remains unresolved within ten (10) business days after such request, the aggrieved party may bring the dispute before the ERC for resolution, if said dispute is within the exclusive jurisdiction of the ERC. Otherwise, the aggrieved party may seek redress from the regular courts. In case of the latter, the PARTIES hereby agree that the venue for any court action shall be the regular courts of the principal address where the Transmission Network Provider is located.

21. **Notices.** For communications to be given in relation to this Agreement, A12 in Module A of the OATS Rules shall apply.

Communications may likewise be sent by email from an email address designated by the sending Party below to an email address designated by the recipient Party below, provided that proof of receipt shall be the email "read receipt" in accordance with A12 in Module A of the OATS Rules. Alternatively, in the absence of such "read receipt," **TransCo or its successors-in-interest or concessionaire** shall send a reply acknowledging receipt of such request. Likewise, sending of e-mail shall be be deemed complete upon transmittal of the aforementioned documents via e-mail to the recipient's email address, and entry of the subject e-mail in the sender's "Sent Folder."

TransCo or its successor-in interest or concessionaire

Fax No.:
Attention:
Email Address:

GEOP End-User

Fax No.:
Attention:
Email Address:

IX. ACCESS

22. The **GEOP End-User** shall allow employees and representatives of **TransCo or its successors-in-interest or concessionaire** access to its premises and facilities to install, construct, test, commission, inspect, repair, and maintain **TransCo or its successors-in interest or concessionaire's** assets located therein in accordance with this Agreement. **TransCo or its successors-in-interest or concessionaire** undertakes to comply with the safety and security measures and policies of the **GEOP End-User**.

For this purpose, **TransCo or its successors-in-interest or concessionaire** shall not hold the **GEOP End-User** liable for, and **TransCo or its successors-in-interest or concessionaire** releases **GEOP End-User** from any liability arising from any damage, loss, or injury to the equipment, materials, or for the death or bodily injury to its officers, workers, and representatives. Furthermore,

TransCo or its successors-in-interest or concessionaire shall indemnify **GEOP End-User** for any damage, loss, injury, or other expenses incurred or suffered by **GEOP End-User** resulting from any injury to any person or any loss or damage to any property which may be attributed to an act or omission of **TransCo or its successors-in-interest or concessionaire**, or any breach by **TransCo or its successors-in-interest or concessionaire** of its undertaking under this provision.

X. MISCELLANEOUS

23. **Warranty of Corporate Existence and Authority.** Each Party hereby represents and warrants that: (a) it is duly (incorporated/a sole proprietorship/a partnership), validly existing and in good standing under the laws of the Republic of the Philippines; (b) it possesses full power and authority to enter into this Agreement, and has taken all the necessary action to authorize the person/s signing the contract on its behalf; (c) that it has taken all actions to authorize the entry into and the delivery of this Agreement, and the transactions contemplated hereby, and the performance of its obligations hereunder; (d) it has the power, licenses and permits required to carry on its business as it is being conducted and as proposed to be conducted; (e) this Agreement and the consummation of the transactions contemplated herein are its legal, valid, binding and enforceable obligations; and (f) it shall, in good faith, comply with all its obligations under this Agreement.

24. **Governing Law.** This Agreement shall be governed by and construed in accordance with the laws of the Republic of the Philippines. This Agreement shall be subject to existing laws, policies, rules and regulations, administrative orders and any amendments and modifications thereof, emanating from the Department of Energy (DOE), the ERC, other government agencies, or authorized bodies having jurisdiction thereof. The said law, policies, rules, and regulations shall be deemed incorporated in this Agreement.

25. **Non-waiver of Rights.** The failure or delay of any Party, at any time, to require performance of any provision hereof shall in no manner affect the right to enforce the same at a later time. No waiver by any Party of the breach of any term or covenant contained in this Agreement, whether by conduct or otherwise, shall be deemed to be

construed as a further or continuing waiver of such breach or waiver of the breach of any other term or covenant, unless such waiver is in writing.

26. **Entire Agreement and Amendments.** This Agreement, its schedules, attachments and annexes supersede any previous agreement, arrangements or representation between the Parties, whether oral or written, in respect of the subject matter of this Agreement and shall constitute the entire agreement between the Parties in relation thereto.

27. **Severability.** If at any time, one or more provisions in this Agreement shall be determined to be illegal, invalid, or unenforceable in any respect, the legality, validity, and enforceability of the remaining provisions of this Agreement shall not be affected or impaired thereby, provided that the remaining provisions are sufficient to render to each Party the benefits contemplated hereby.

28. **Counterparts**. This Agreement may be executed in any number of counterparts and by the different parties hereto on separate counterparts, each of which when so executed and delivered shall be an original, but all of which shall together constitute one and the same instrument.

IN WITNESS WHEREOF, the Parties have executed this Agreement this__day of_____20__at___.

For TransCo or its successors-in-interest or concessionaire:	For the GEOP End-User:
Signature Over Printed Name and Designation	**Signature Over Printed Name and Designation**
Date signed:	Date signed:

SIGNED IN THE PRESENCE OF:

Witness Name, Signature Over Printed Name	Witness Name, Signature Over Printed Name

ACKNOWLEDGEMENT

Republic of the Philippines }
_____} S.S.

Before me, a Notary Public, for and in the City/Municipality of _____, personally appeared the following parties with their respective competent proof of identities:

Name	Government ID
TransCo or its successors-in-interest or concessionaire	
GEOP End-User	

who represented themselves to be the same persons who executed this instrument and acknowledged the same to be their true and voluntary act and deed ad of the corporations represented herein.

This instrument, consisting of (_) pages, including the page on which this acknowledgment is written, has been signed on the signature page and on the left margin of each and every other page thereof by the concerned parties and their witnesses, and sealed with my notarial seal.

IN WITNESS WHEREOF, I have hereunto set my seal and signature.

Notary Public

Doc. No.__;
Page No.__;
Book No.__;
Series of 20__

SCHEDULE "A"

OATS SERVICES

1. GEOP End-User's Interconnection Details

1.1 Name of GEOP End-User:

_____

1.2 Type of GEOP End-User:

_____

1.3 Connection Point/s:

No.	Name
1	

1.4 Embedded Generation

Number and Size of Generating Units	
Net Capacity:	
Contracted Capacity:	
Type of Generating Unit:	

2. Applicable Charges

Type of Charge	Regulatory Basis

3. Credit Support

As determined by **TransCo or its successors-in-interest or concessionaire** based on the approved OATS Rules.

4. Transmission Service Specifications

Contract Transmission Capacity, kW	**Year 1**	**Year 2**	**Year 3**	**Year 4**
Type of Transmission Service				

5. Contract Period

Commencement Date : As provided in this Agreement

Termination Date: : As provided in this Agreement

Annex C-1

DISTRIBUTION WHEELING SERVICE AGREEMENT
(For Renewable Energy Suppliers)

This **AGREEMENT** is entered into this _____ day of _____ at _____City, Philippines, by and between:

_____, a (corporation/sole proprietorship/partnership/cooperative) duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by Mr. _____ (designation) and Mr. _____, (designation) hereinafter referred to as "Distribution Utility or **DU**";

-and-

_____, duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by Mr. _____ (designation), and hereinafter referred to as "Renewable Energy Supplier or **RE Supplier**";

"**DU"** and "**RE Supplier**" hereinafter shall collectively be referred to as "**PARTIES**".

WITNESSETH THAT:

WHEREAS, the **RE Supplier** refers to an individual or juridical entity created, registered, or authorized to operate in the Philippines in accordance with existing laws, rules and regulations to engage in the provision or supply of electric power from RE resources to Green Energy Option Program (GEOP) End-User;

WHEREAS, the **DU** is a Distribution Utility (DU), with a legislative franchise to operate and maintain an electric distribution system in the Cities/Municipalities of _____;

WHEREAS, Distribution Wheeling Service (DWS) is one of the services provided by the DU to entities such as captive and contestable customers, wherein the relationship regarding the delivery of electric power and energy ("Distribution Wheeling Service") will be governed by the terms and conditions set forth in the Distribution Services and Open Access Rules ("DSOAR").

WHEREAS, the **RE Supplier** intends to avail itself of Distribution Wheeling Service (DWS) offered by the **DU**;

WHEREAS, the **PARTIES** agree to allow the wheeling transaction to take place based on the terms and conditions as set out in this Agreement, subject to rules and regulations of the ERC and any other applicable laws;

NOW, **THEREFORE**, in consideration of the foregoing premises and the mutual covenants set forth herein, the **PARTIES** hereto agree as follows:

Section 1. Scope. This Agreement is solely for the provision of DWS, which pertains to those services performed by the **DU** for the conveyance of electricity through its distribution system in order to meet the services required by the **RE Supplier**. This Agreement does not constitute an Agreement to supply electricity to the **RE Supplier.**

Section 2. Provision of DWS. Subject to the terms and conditions of this Agreement, and applicable rules and regulations, the **DU** shall provide DWS to the **RE Supplier** in conformity with the technical specifications as specified in the attached Schedule with the concerned GEOP End-User.

The **RE Supplier** shall not modify or allow the modification of the technical specifications without the written consent of the **DU**. Should the **RE Supplier** seek to modify said specifications, the **RE Supplier** shall notify the **DU** no later than thirty (30) calendar days from the intended implementation of the plan. Any incremental cost

attributable to any modification in the specifications of the **RE Supplier** shall be made at the sole expense of the latter.

Section 3. Charges. The **RE Supplier** shall pay DWS charges, including all applicable taxes, based on the applicable rate schedule for the provision of DWS, which include, among others, the:

(i) Distribution Charge;
(ii) Standard Connection Charge (SCC), or Guaranteed Minimum Billing Demand (GMBD);
(iii) Supply Charge;
(iv) Metering Charge;
(v) System Loss Charge;
(vi) Transmission Charge;
(vii) Local Franchise Tax;
(viii) Senior Citizen Discount Subsidy, if applicable;
(ix) Lifeline Subsidy;
(x) Universal Charge**;**
(xi) FIT-All; and
(xii) Other Charges and Adjustments which shall include, but not limited to, over/under-recoveries and other pass-through charges approved by the ERC to be billed by the **DU** to the **RE Supplier**.

Said charges shall be payable in accordance with Section 9 (Billing & Payment) hereof, commencing on the first billing month from the effectivity of this Agreement.

Should the **RE Supplier** fail to pay the **DU** the DWS Charges within the timeframe specified in its billing agreement, the **RE Supplier** shall pay interest on the unpaid amount. The **DU** shall calculate the late payment charges provided under Section 4.8.3, Article IV of the DSOAR, or based on the approved surcharge by the ERC, whichever is applicable, from the date the payment was due to be received by the **DU**.

Section 4. Eligibility for DWS. An **RE Supplier** shall be eligible for DWS if it: (i) continues to possess all the eligibility requirements under the Distribution Services and Open Access Rules (DSOAR), as *amended*, Green Energy Option Program (GEOP), and other pertinent guidelines, or any amendments thereto; (ii) has no outstanding balance with the **DU**, the Transmission Service Provider (TSP), or the Wholesale Electricity Spot Market (WESM).

Section 5. Duties and Responsibilities of the RE Supplier. The **RE Supplier** shall:

a. Secure the requisite approvals, licenses, clearances from the ERC, and/or other governmental agencies for its availment of the DU's services, including payment of any fees and execution of any applicable agreement;

b. Be solely responsible for complying with any applicable WESM requirements pertaining to the **RE Supplier** or its GEOP End-User and payment of all related obligations to the other market participants;

c. Be solely responsible for all contractual and billing matters, including disputes, relating to its GEOP End-User; and

d. Enjoin its GEOP End-User not to engage in pilferage of electricity and monitor its GEOP End-User's strict compliance with pertinent anti-pilferage laws, rules, and regulations.

***Section 6. Duties and Responsibilities of the* DU.** The **DU** shall**:**

a. Subject to system constraints and performance standards approved by the ERC, make reasonable provisions to provide steady and continuous DWS to the GEOP End-User of the RE Supplier.

b. Comply with applicable laws, and pertinent government rules and regulations, as well as good utility practice; and

c. Use as reference, the registrations of the metered quantities in kilowatt-hour by the metering facilities which are capable of measuring energy use and demand, unless an estimated meter reading is necessary, in accordance with Section 3.5.4 of the Distribution Services and Open Access Rules (DSOAR) on the utilization of estimated billing and any amendments thereto; and

d. Protect the interests of the GEOP End-Users in good standing.

Section 7. Additional Terms and Conditions. Any terms and conditions specifically applicable to the **PARTIES** shall be specified in the applicable Schedule, which shall be considered integral part hereof.

***Section 8. Switching of RE Supplier's* GEOP End-User.** Switching of the **GEOP End-User** of the **RE Supplier** to another **RE Supplier** shall follow the procedures laid down in applicable rules and regulations of the ERC.

a. The switching of the GEOP End-User shall not be allowed in the absence of the required switch approval from the Central Registration Body (CRB), as provided in Section 17.1(b) of Annex A of ERC Resolution No. 08 Series of 2021; and

b. The **DU** shall have the right to fully rely on the Switch Approval sent to it by the CRB and shall not be responsible for verifying the validity of such approval. In all cases, the **RE Supplier** shall hold the **DU** free from any liability arising therefrom.

Section 9. Billing and Payment. The **DU** shall bill the **RE Supplier** for all the charges stipulated under this Agreement and the applicable Schedule/s, if any, including any billing adjustment, differential bills and such other charges as may be approved by the ERC. Said bill shall become due and demandable within ___ calendar days from the receipt of said bill by the **RE Supplier**. Any amount unpaid shall be charged with interest at the rate previously approved by the ERC or late payment charges as provided under Section 4.8.3, Article IV of the DSOAR, whichever is applicable, from the date the bill was due to be paid. The payment of the interest is in addition to, and not in lieu of, all other rights and remedies otherwise available to the **DU.**

The **RE Supplier** may dispute any bill, in writing, within thirty (30) calendar days from receipt of the bill. Notwithstanding the foregoing, the **RE Supplier** shall continue to pay the disputed bills without deductions or any offset and shall not be an excuse or ground for the **RE Supplier** to delay payment of succeeding bills or to unilaterally deduct any amount therefrom. The **DU** shall resolve any disputed bills within thirty (30) calendar days from its receipt of the written complaint.

Section 10. Bill Deposit. Prior to the commencement of the services to the GEOP End-Users, a bill deposit to secure payment of any outstanding regular bills shall be paid by the **RE Supplier** to the **DU**, equivalent to the one (1) month estimated billing for all DWS Charges of the GEOP End-User under Section 3 (Charges) hereof, based on the latter's average billing in the immediately preceding twelve (12) months, or in case of a newly connected GEOP End-User, based on projected demand and/or energy of such GEOP End-User.

The **DU** may likewise apply such bill deposit to any outstanding bill, billing adjustment or differential billing upon termination of the contract.

Said deposit shall be adjusted annually: (i) to reflect the average billing of the GEOP End-User during a one (1) year period; or (ii) to

replace any deposit previously applied to any outstanding bill, billing adjustment or differential billing; or (iii) to reflect the increase or decrease in load as a result of the increase or decrease in the number of the GEOP End-Users under this Agreement after a one-year period. Any excess or deficiency in the amount of bill deposit, after said adjustment, shall be correspondingly refunded through credit to bill to, or collected from, respectively, the **RE Supplier** by the **DU**.

A GEOP End-User that has paid its electric bills on or before its due date for three (3) consecutive years may demand for the full refund of the deposit prior to the termination of his service. The provisions of the DSOAR shall apply.

Section 11. Disconnection of Service of GEOP End-User. Subject to prior notice to the **RE Supplier** by the CRB, the services of the GEOP End-User may be disconnected under any of the following circumstances:

a. **RE Supplier** fails to pay the DWS charges, or any adjusted or differential bills or such other charges stipulated in this Agreement, on the due date, in part on in whole;

b. Termination of the **RE Supplier's** supply contract with its GEOP End-User under Section 15 hereof;

c. **RE Supplier** has not complied with any of the provisions of the DSOAR, PDC, other applicable laws, including any amendments thereon;

d. In case of non-payment by the **RE Supplier** of the GEOP End-User's final bill, in case of regular switching;

e. Violation of any of the terms and conditions of this Agreement by the **RE Supplier**;

e. In case of violation by the GEOP End-User of R.A. 7832, otherwise known as "Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994"; and

f. Other circumstances allowed by law or government rules and regulations.

The **DU's** exercise of its rights under this Article shall not entitle the **RE Supplier** to renege on its obligation to pay the DWS charges, disconnection fees or other billings rendered under this Agreement.

Nothing in this agreement shall prevent the **DU** from temporarily discontinuing the provision of DWS whenever it finds it necessary to execute any routine maintenance, repairs or modifications on its distribution system or in the event of an emergency or to correct unsafe operating conditions in the distribution or connection facilities; *Provided however*, that except in cases of *force majeure,* forced outage/interruption, event of emergency or the need to correct unsafe operating conditions, the **DU** shall give advance notice to the **RE Supplier** within a reasonable time of said temporary discontinuance of DWS, in a manner allowed by the applicable rules and regulations.

In case the DWS is temporarily discontinued under this Section, the **DU** shall likewise effect the reconnection of the GEOP End-User's service, when the **DU's** routine maintenance, repairs or modification to the facilities and nearby facilities have been completed or when the emergency has ceased or the unsafe operating conditions in the distribution or connection facilities have been corrected.

Section 12. Disconnection of the GEOP End-User–upon request of the RE Supplier. In the event that the GEOP End-User fails to pay the **RE Supplier** for service rendered by due date, the **RE Supplier** may request disconnection through the CRB. The **DU** shall disconnect the GEOP End-User within twenty-four (24) hours from receipt of the request for disconnection from the CRB.

a. ***Validity of RE Supplier' Request for Disconnection.*** The **DU** shall not have any obligation to act upon the **RE Supplier's** request for disconnection. The **DU** shall fully rely upon the request sent to it by the CRB. Absent any request from the CRB, the **RE Supplier** continues to be liable for all DWS billed by the **DU** for all delivered services to the GEOP End-User.

b. ***GEOP End-User pays the RE Supplier at the time of disconnection.*** In the event that the GEOP End-User pays the **RE Supplier** before the actual disconnection, the **DU** shall, within forty-eight (48) hours from its receipt of notice from the CRB, reconnect the services of the GEOP End-User. Nonetheless, if the **DU** was not properly notified within said period and the **DU** has already effected the disconnection, the **DU** shall not be responsible for any liability, including costs incurred and injury suffered by its GEOP End-User as a result of its disconnection.

c. ***Delinquency or Non-Payment of Bills of GEOP End-User.*** The **DU** shall not disconnect the services of GEOP End-User due to non-payment of bills of another GEOP End-User unless otherwise instructed by the CRB in accordance with existing regulation.

The **RE Supplier** shall be liable to pay the appropriate disconnection fee for disconnections made under this Section.

Section 13.* DU*'s Inability to Effect Disconnection. In the event that the **DU** is unable to exercise its right to disconnect under this Agreement and the applicable Schedule with the GEOP End-User, despite due diligence and without fault on its part, and the GEOP End-User continues to avail of DWS, the **RE Supplier** shall continue to pay the corresponding charges equivalent to the amount of DWS; Provided that the **DU** shall notify the **RE Supplier** of its inability to effect such disconnection within the hour that the **DU** has knowledge of its inability to exercise its right to disconnect.

Section 14. Reconnection of the* GEOP End-User *Service. Subject to prior notice to the **DU** by the CRB, reconnection of the **RE Supplier's** GEOP End-User's service shall be effected by the **DU**:

a. In cases of Section 11(a) and 11(d), after the **RE Supplier** has settled its obligation with the **DU;**

b. In case of Section 11(b), if the contract executed between the **RE Supplier** and the GEOP End-User has been renewed and the **RE Supplier** has requested the inclusion of its GEOP End-User in the DWS;

c. In case of Sections 11(c) and 11(e) when the **RE Supplier** presents proof to the satisfaction of the **DU** that the non-compliance and/or violation of the provisions of this Agreement, the DSOAR, as amended, PDC, and/or other applicable laws, has ceased.

d. In case of 12(b), within the timeframe provided in said Section.

Reconnection of the GEOP End-User under Section 14(a), (b) and (c) shall be subject to payment of appropriate reconnection fees as approved by the ERC. If the emergency or unsafe operating condition, which brought about the suspension of the DWS is due to the fault of the **RE Supplier's** GEOP End-User, the same shall likewise be subject to payment of appropriate reconnection-fees.

Section 15. End of the term of the GEOP Supply Contract. Upon the end of the term of the GEOP supply contract executed between the **RE Supplier** and the GEOP End-User, the **RE Supplier** shall, within twenty-four (24) hours, notify the **DU** of such fact. Thereafter, the **DU** shall send a final billing to the **RE Supplier** covering the DWS of such GEOP End-User, including any adjusted or differential bill/s and other applicable charges approved by the ERC, if

the service is terminated before the next scheduled reading. After payment by the **RE Supplier** of the **DU**'s final billing, including any adjusted or differential bill/s, the **DU** shall send a certification to the **RE Supplier** that all its bills have been paid.

In case the termination of the supply contract of the **RE Supplier** with GEOP End-User was due to the reversion of the latter to the captive market, in addition to the foregoing paragraph, the discontinuance of DWS to such GEOP End-User shall become effective only at the end of the meter reading date of said GEOP End-User. For the avoidance of doubt, prior to the effectivity of the discontinuance of the DWS to such GEOP End-User, the **RE Supplier** shall continue to be liable to the **DU** for the payment of charges as stipulated under Sections 3 (Charges) and 9 (Billing and Payment) hereof and the observance of the terms and conditions provided in this Agreement and the accompanying Schedule with its GEOP End-User.

Section 16. Undelivered Energy, Damages and Other Losses. The **RE Supplier** understands that the **DU** undertakes scheduled and/or unscheduled maintenance, repairs and replacement of its facilities to improve service. In such cases, and in other cases of outages due to events stated in Section 19 (Force Majeure/Fortuitous Event/Other Event) or for reasons not attributable to the fault of the **DU,** the **RE Supplier** agrees that the **DU** shall not be liable for any undelivered energy, or for damages, whether direct or consequential, including, and without limitation to, loss of profits, loss of revenue, or loss of production capacity, as a result of interruption or disconnection of its service.

Section 17. Supply Imbalances. The **RE Supplier** shall have the responsibility of procuring the full power supply requirement of its GEOP End-User. It shall reimburse to the **DU** the cost of any additional power supply requirement delivered to the GEOP End-User but billed to the **DU** by the Wholesale Electricity Spot Market (WESM), including any applicable interest, surcharge, or penalties.

Section 18. Liability for Non-technical System Losses and Damages as a result of Pilferage. The **RE Supplier** shall be liable for non-technical system losses if it condones, colludes, conspires with, or engages in the pilferage of electricity or tampering of meters or facilities of the **DU**. Condonation, collusion, and conspiracy shall include, but not be limited to, the following instances: (a) when an **RE Supplier** has knowledge of pilferage of electricity committed or being committed by its GEOP End-User and refuses or fails to report such fact to the **DU;** and (b) when an **RE Supplier** or any of its employees or representatives assists or participates in the commission of pilferage of electricity by its GEOP End-User. The **RE Supplier** shall likewise be liable for any damages caused to the **DU** or third persons arising, or resulting, from such pilferage.

Section 19. Force Majeure/Fortuitous Event/Other Event. The **DU** shall not be liable to the **RE Supplier** with respect to the non-performance of any of its obligations under this Agreement in the event and to the extent that such non-performance is the direct result of or has been directly caused by force majeure and fortuitous event including other event that are beyond the control of the **DU**. Force majeure and fortuitous event including other event shall mean such event: (i) that is not within the reasonable control, directly and indirectly, of the **DU**; and (ii) which, despite the exercise of reasonable diligence, cannot be prevented, avoided or removed by the **DU**; Provided that, the **DU** has taken all reasonable precautions, and due care in order to avoid or mitigate the effect of such event on the **DU's** ability to perform its obligations under this Agreement. These events shall include, but may not be limited to the following:

a. A typhoon, storm, tropical depression, flood, drought, volcanic eruption, earthquake, tidal wave, or landslide;

b. An act of public enemy, war (declared or undeclared), sabotage, blockade, revolution, riot, insurrection, civil commotion, or any violent or threatening actions;

c. Non system-wide and system-wide Transmission constraints and/or outages in the Transmission and Distribution System; ——

d. Any lawful orders rendered by competent authority, including any advice or warnings of government authorities for safety reasons; and

e. Other analogous circumstances.

Section 20. Amendment/Modification of Agreement. This Agreement, including the applicable Schedule with the GEOP End-User, constitutes the sole and entire agreement between the **PARTIES,** and supersedes all previous arrangements or agreements in respect of the subject-matter of this Agreement. Unless confirmed in writing and signed by the **PARTIES,** no amendments of this Agreement or the applicable Schedule with the GEOP End-User, or consent to any departure therefrom, shall in be in force or effect. If necessary, such amendment or departure shall be effective only upon approval by the ERC.

Section 21. Non-Waiver of Rights. The failure of any Party, at any time, to require performance of any provision hereof shall in no manner affect the right to enforce the same at a later time. No waiver by any Party of the breach of any term or covenant contained in this Agreement, whether by conduct or otherwise, shall be deemed to be construed as a further or continuing waiver of such breach or waiver of the breach of any other term or covenant, unless such waiver is in writing.

Section 22. Effectivity and Termination of Agreement. This Agreement shall be valid and binding to the **PARTIES** upon execution hereof unless terminated by either party by serving written notice to the other at least thirty (30) calendar days before the effective date of termination. It shall take effect on the earliest next regular meter reading date of the GEOP End-User, as contained in the attached Schedule/s, after the execution date hereof, provided that such GEOP

End-User has/have validly executed Connection Agreement/s with the **DU.**

This Agreement may likewise be terminated:

a) after due notice, for violation of any of the obligations set forth herein by any Party;

b) under Section 15 (Termination of GEOP Supply Contract), upon termination of the contract between the **RE Supplier** and the GEOP End-User; and/or

c) without any need of prior notice:

i. under Section 4 (Eligibility for DWS), when the **RE Supplier** is no longer eligible for DWS;

ii. when this Agreement is rendered invalid and/or unenforceable by law or competent authority;

iii. when the performance of any obligations under this Agreement has been rendered legally or physically impossible;

iv. in case of the **RE Supplier's** failure to pay the bill deposit or the corresponding adjustment thereon; and

v. in case of violation of R.A. 7832 otherwise known as "*Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994*" either by the **RE Supplier's** own act or if the **RE Supplier** has condoned, colluded or conspired with its GEOP End-User.

Upon termination or expiration of this Agreement, all rights and obligations of the **PARTIES** hereunder shall cease, except (a) such

rights and obligations as may have accrued as of the date of termination or expiration, such as but not limited to payment of any outstanding bills; and (b) any right or obligation which survives the termination of this Agreement.

Section 23. Delivery of Notices. All notices, letters and/or communications shall be addressed to the following:

For the DU:

Name: _____
Mailing Address: _____
Phone Number: _____
Fax Number: _____
Email Address: _____
Billing Address: _____
(both electronic and postal)

For the RE Supplier:

Name: _____
Mailing Address: _____
Phone Number: _____
Fax Number: _____
Email Address: _____
Billing Address: _____
(both electronic and postal)

Either Party may change the above information through written notice to the other Party.

Section 23. Warranties. Each Party hereby represents and warrants that: (a) it is [duly incorporated/a sole proprietorship/a partnership/a cooperative], validly existing and in good standing under the laws of the Republic of the Philippines; (b) it possesses full power and authority to enter into this Agreement, and has taken all the

necessary action to authorize the person/s signing the contract on its behalf; (c) that it has taken all actions to authorize the entry into and the delivery of this Agreement, and the transactions contemplated hereby, and the performance of its obligations hereunder; (d) it has the power, licenses and permits required to carry on its business as it is being conducted and as proposed to be conducted; (e) this Agreement and the consummation of the transactions contemplated herein are its legal, valid, binding and enforceable obligations; and (f) it shall, in good faith, comply with all its obligations under this Agreement.

Section 24. Severability. If at any time, one or more provisions in this Agreement shall be determined to be illegal, invalid, or unenforceable in any respect, the legality, validity, and enforceability of the remaining provisions of this Agreement shall not be affected or impaired thereby, provided that the remaining provisions are sufficient to render to each Party the benefits contemplated hereby.

Section 25. Assignment of Rights. The **RE Supplier** shall not assign its rights under this Agreement. In case of any change in its corporate name, or status brought about by merger, consolidation, amendment of articles of incorporation, sale of business or transfer of ownership, the **RE Supplier** shall advise the **DU** of such fact in writing, within thirty (30) calendar days from the effective date thereof. Violation of this provision shall give the **DU** the right to terminate this Agreement, without prejudice to any action that the **DU** may bring for the collection of any outstanding obligation of the **RE Supplier** to the **DU.**

Section 26. Disputes. If any dispute shall arise between the **PARTIES** in connection with or arising out of this Agreement**,** either party may request in writing to meet within five (5) business days from occurrence thereof and attempt to resolve the dispute. In the event that such dispute remains unresolved within ten (10) business days after such request, the aggrieved party may bring the dispute before the ERC for resolution, if said dispute is within the exclusive jurisdiction of the

ERC. Otherwise, the aggrieved party may seek redress from the regular courts. In case of the latter, the **PARTIES** hereby agree that the venue for any court action shall be the regular courts of the principal address where the **DU** is located.

Section 27. Counterparts. This Agreement may be executed by the Parties in any number of counterparts, each of which when so executed and delivered shall be an original, but all of which shall together constitute one and the same instrument.

IN WITNESS WHEREOF, the **PARTIES** hereto have caused the foregoing instrument to be executed by their respective officers and/or their representatives, thereunto duly authorized at the place and on the date first above written.

For the DU:	For the RE Supplier:
Signature Over Printed Name and Designation	**Signature Over Printed Name and Designation**
Date signed:	Date signed:

SIGNED IN THE PRESENCE OF:

ACKNOWLEDGMENT

Republic of the Philippines }
_____} S.S.

Before me, a Notary Public, for and in the City of _____, personally appeared the following parties with their respective competent proof of identities:

DU
Valid government issued id

RE Supplier
Valid government issued id

known to me and to me known to be the same persons who executed the foregoing instrument, consisting of _____ pages, including the page whereon this Acknowledgment is written, with all pages signed by both **PARTIES** and their instrumental witnesses, and they acknowledged to me that the same is their free and voluntary act and deed and that of the Corporation/ **DU** they respectively represent.

IN WITNESS WHEREOF, I have hereunto set my hand and seal this _____ day of _____, at _____, Philippines.

Doc. No._____;
Page No._____;
Book No._____;
Series of _____.

Annex C-2

DISTRIBUTION WHEELING SERVICE AGREEMENT
(For GEOP End-Users)

This **AGREEMENT** is entered into this _____ day of _____ at _____City, Philippines, by and between:

_____, a (corporation/sole proprietorship/partnership) duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by Mr. _____ (designation) and Mr. _____, (designation) hereinafter referred to as "**GEOP End-User**";

-***and***-

_____, a corporation/cooperative duly organized and existing under the laws of the Republic of the Philippines, with principal office at _____, duly represented by Mr. _____ (designation) and Mr. _____, (designation) hereinafter referred to as "Distribution Utility or **DU**";

"**GEOP End-User"** and "**DU**" hereinafter shall collectively be referred to as "**PARTIES**".

WITNESSETH THAT:

WHEREAS, the **GEOP End-User** refers to any person or entity requiring the supply and delivery of electricity sourcing 100% of its requirements from RE Resources for its own use;

WHEREAS, the **DU** is a Distribution Utility (DU), with a legislative franchise to operate and maintain an electric distribution system in the Cities/Municipalities of _____;

WHEREAS, Distribution Wheeling Service (DWS) is one of the services provided by the DU to entities such as captive and contestable customers, wherein the relationship regarding the delivery of electric power and energy ("Distribution Wheeling Service") will be governed by the terms and conditions set forth in the Distribution Services and Open Access Rules ("DSOAR").

WHEREAS, the **GEOP End-User** intends to avail itself of Distribution Wheeling Service (DWS) offered by the **DU**;

WHEREAS, the **PARTIES** agree to permit the wheeling transaction to take place based on the terms and conditions as set out in this Agreement, subject to rules and regulations of the ERC and any other applicable laws;

NOW, **THEREFORE**, in consideration of the foregoing premises and the mutual covenants set forth herein, the **PARTIES** hereto agree as follows:

Section 1. Scope. This Agreement is solely for the provision of DWS for a **GEOP End-User**, which pertains to those services performed for the conveyance of electricity to the **GEOP End-User** through the distribution system in order to meet the services required by such **GEOP End-User**. This Agreement does not constitute an Agreement to supply electricity**.**

Section 2. Provision of DWS. Subject to the terms and conditions of this Agreement, and applicable rules and regulations, the **DU** shall provide DWS to the **GEOP End-User** under the technical specifications specified in the attached Schedule with the concerned **GEOP End-User**.

The **GEOP End-User** shall not modify or allow the modification of the technical specifications without the written consent of the **DU**. Should the **GEOP End-User** seek to modify said specifications, the **GEOP End-User** shall notify the **DU** no less than thirty (30) calendar days from the intended implementation of the plan. Any incremental

cost attributable to any modification in the specifications of the **GEOP End-User** shall be made at its sole expense.

Section 3. Charges. The **GEOP End-User** shall pay DWS charges, including all applicable taxes, based on the applicable rate schedule approved by the ERC for the provision of DWS, which include, among others, the:

(i) Distribution Charge;
(ii) Standard Connection Charge (SCC), or Guaranteed Minimum Billing Demand (GMBD);
(iii) Supply Charge;
(iv) Metering Charge;
(v) System Loss Charge;
(vi) Transmission Charge;
(vii) Local Franchise Tax;
(viii) Senior Citizen Discount, if applicable;
(ix) Lifeline Subsidy;
(x) Universal Charge;
(xi) FIT-All; and
(xii) Other Charges and Adjustments which shall include, but not limited to, over/under-recoveries and other pass-through charges approved by the ERC to be billed by the **DU** to the **GEOP End-User**.

Said charges shall be payable in accordance with Section 9 (Billing & Payment) hereof, commencing on the first billing month from the effectivity of this Agreement.

Should the **GEOP End-User** fail to pay the **DU** the DWS Charges within the timeframe specified in its billing agreement, the **GEOP End-User** shall pay interest on the unpaid amount. The **DU** shall calculate the late payment charges provided under Section 4.8.3, Article IV of the DSOAR, or based on the approved surcharge by the ERC, whichever is applicable, from the date the payment was due to be received by the **DU**.

Section 4. Eligibility for DWS. A **GEOP End-User** shall be eligible for DWS if it: (i) continues to possess all the eligibility

requirements under the Distribution Services and Open Access Rules (DSOAR), as *amended*, Green Energy Option Program (GEOP), and other pertinent guidelines, or any amendments thereto; (ii) has no outstanding balance with the **DU**, the Transmission Service Provider (TSP), or the Wholesale Electricity Spot Market (WESM).

***Section 5. Duties and Responsibilities of the* GEOP End-User**. The **GEOP End-User** shall:

a. Comply with the technical specifications and requirements, and technical infrastructure/equipment standards prescribed by the **DU**, as embodied in the Connection Agreement (CA) executed by the **GEOP End-User**, including applicable provisions of the Philippine Distribution Code (PDC), rules and regulations of the ERC and any other applicable law or guidelines;

b. Be solely responsible for its contractual obligations with the **DU** and other entities regarding supply of electricity and billing matters, including disputes; and

c. Not engage in pilferage of electricity as defined under R.A. 7832 otherwise known as "Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994.

Section 6. Duties and Responsibilities of the DU. The **DU** shall**:**

a. Subject to system constraints and performance standards approved by the ERC, make reasonable provisions to provide steady and continuous DWS to the **GEOP End-User**;

b. Comply with applicable laws, and pertinent government rules and regulations, as well as good utility practice;

c. Use as reference, the registrations of the metering facilities which are capable of measuring energy use and demand,

unless an estimated meter reading is necessary, in accordance with Section 3.5.4 of the Distribution Services and Open Access Rules (DSOAR) on the utilization of estimated billing and any amendments thereto; and

d. Protect the interests of the GEOP End-Users in good standing.

Section 7. Additional Terms and Conditions. Any terms and conditions specifically applicable to the **PARTIES** shall be specified in the applicable Schedule, which shall be considered integral part hereof.

***Section 8. Switching of* GEOP End-User.** Switching of the **GEOP End-User** shall follow the procedure laid down in the applicable rules and regulations.

a. The switching of the **GEOP End-User** shall not be allowed in the absence of the required switch approval from the Central Registration Body (CRB); and

b. The **DU** shall have the right to fully rely on the Switch Approval sent to it by the CRB and shall not be responsible for verifying the validity of such approval. In all cases, the **GEOP End-User** shall hold the **DU** free from any liability arising therefrom.

Section 9. Billing and Payment. The **GEOP End-User** shall be billed by the **DU** for all the charges stipulated under this Agreement and the applicable Schedule, if any, including any billing adjustment, differential bills and such other charges as may be approved by the ERC. Said bill shall become due and demandable within ___ calendar days from the receipt of said bill by the **GEOP End-User**. Any amount unpaid shall be charged with interest at the rate previously approved by the ERC or late payment charges as provided under Section 4.8.3, Article IV of the DSOAR, whichever is applicable, from the date the bill was due to be paid. The payment of

the interest is in addition to, and not in lieu of, all other rights and remedies otherwise available to the **DU**.

The **GEOP End-User** may dispute any bill, in writing, within thirty (30) calendar days from receipt of the bill. Notwithstanding the foregoing, the **GEOP End-User** shall continue to pay the disputed bills without deductions or any offset and shall not be an excuse or ground for the **GEOP End-User** to delay payment of succeeding bills or to unilaterally deduct any amount therefrom. The **DU** shall resolve any disputed bills within thirty (30) calendar days from receipt of the written complaint.

Section 10. Bill Deposit. Prior to the commencement of the services to the **GEOP End-User**, a bill deposit to secure payment of any outstanding regular bills shall be paid by the **GEOP End-User** to the **DU**, equivalent to the one (1) month estimated billing for all DWS Charges of the **GEOP End-User** under Section 3 (Charges) hereof, based on the latter's average billing in the immediately preceding twelve (12) months, or in case of a newly connected **GEOP End-User**, based on projected demand and/or energy of such **GEOP End-User**.

The **DU** may likewise apply such bill deposit to any outstanding bill, billing adjustment or differential billing upon termination of the contract.

Said deposit shall be adjusted: (i) annually, to reflect the average billing of the **GEOP End-User** during a one (1) year period; or (ii) to replace any deposit previously applied to any outstanding bill, billing adjustment or differential. Any excess or deficiency in the amount of bill deposit, after said adjustment, shall be correspondingly refunded through credit to bill to, or collected from the **GEOP End-User** by the **DU**.

A **GEOP End-User** that has paid its electric bills on or before its due date for three (3) consecutive years may demand for the full refund of the deposit prior to the termination of his service. The provisions of the DSOAR shall apply.

Section 11. Disconnection of Service of **GEOP End-User.** Subject to prior notice to the ***GEOP End-user*** by the CRB, the services of the **GEOP End-User** may be disconnected under any of the following circumstances:

a. Failure to pay the DWS charges, or any adjusted or differential bills or such other charges stipulated in this Agreement, on the due date, in part or in whole;

b. Violation of R.A. 7832, otherwise known as "Anti-electricity and Electric Transmission Lines/ Materials Pilferage Act of 1994", and of any of the terms and conditions of this Agreement;

c. Non-compliance with any of the provisions of the applicable laws, including any amendments thereon;

d. Violation of any of the terms and conditions of this Agreement by the **GEOP End-User**; and

e. Other circumstances allowed by law or government rules and regulations.

The **DU's** exercise of its rights under this Section shall not entitle the **GEOP End-User** to renege on its obligation to pay the DWS charges, disconnection fees or other billings rendered under this Agreement.

Nothing in this agreement shall prevent the **DU** from temporarily discontinuing the provision of DWS whenever it finds it necessary to execute any routine maintenance, repairs or modifications on its distribution system or in the event of an emergency or to correct unsafe operating conditions in the distribution or connection facilities; *Provided however*, that except in cases of *force majeure,* forced outage/interruption, event of emergency or the need to correct unsafe operating conditions, the **DU** shall give advance notice to the **GEOP End-User** within a reasonable time of said temporary discontinuance of DWS, in a manner allowed by the applicable rules and regulations.

In case the DWS is temporarily discontinued under this Section, the **DU** shall likewise effect the reconnection of **GEOP End-User's** service, when the **DU's** routine maintenance, repairs or modification to the facilities and nearby facilities have been completed or when the emergency has ceased or the unsafe operating conditions in the distribution or connection facilities have been corrected.

***Section 12. Reconnection of Service of the* GEOP End-User.** The services of the **GEOP End-User** shall be reconnected after the latter has settled its obligation with the DU.

Reconnection of the **GEOP End-User** shall be subject to payment of appropriate reconnection fees as approved by the ERC. If the emergency or unsafe operating condition, which brought about the suspension of the DWS is due to the fault of the **GEOP End-User**, the same shall likewise be subject to payment of appropriate reconnection fees.

The procedures for disconnection, deferment of disconnection and reconnection of **GEOP End-User** shall likewise be governed by ERC rules and relevant issuances.

Section 13. Undelivered Energy, Damages and Other Losses. The **GEOP End-User** understands that the **DU** undertakes scheduled and/or unscheduled maintenance, repairs and replacement of its facilities to improve service. In such cases, and in other cases of outages due to events stated in Section 15 (Force Majeure/Fortuitous Event/Other Event) or for reasons not attributable to the fault of the **DU**, the **GEOP End-User** agrees that the **DU** shall not be liable for any undelivered energy, or for damages, whether direct or consequential, including without limitation, loss of profits, loss of revenue, or loss of production capacity, as a result of interruption or disconnection of its service.

Section 14. Liability for Non-technical System Losses and Damages as a result of Pilferage. The **GEOP End-User** shall be liable for non-technical system losses if it condones, colludes,

conspires with, or engages in the pilferage of electricity or tampering of meters or facilities of the **DU**. The **GEOP End-User** shall likewise be liable for any damages caused to the **DU** or third persons arising, or resulting, from such pilferage.

Section 15. Force Majeure/Fortuitous Event/Other Event. The **DU** shall not be liable to the **GEOP End-User** with respect to the non-performance of any of its obligations under this Agreement in the event and to the extent that such non-performance is the direct result of or has been directly caused by force majeure and fortuitous event including other event that are beyond the control of the **DU**. Force majeure and fortuitous event including other event shall mean such event: (i) that is not within the reasonable control, directly and indirectly, of the **DU**; and (ii) which, despite the exercise of reasonable diligence, cannot be prevented, avoided or removed by the **DU**; Provided that, the **DU** has taken all reasonable precautions, and due care in order to avoid or mitigate the effect of such event on the **DU's** ability to perform its obligations under this Agreement. These events shall include, but may not be limited to the following:

a. A typhoon, storm, tropical depression, flood, drought, volcanic eruption, earthquake, tidal wave, or landslide;

b. An act of public enemy, war (declared or undeclared), sabotage, blockade, revolution, riot, insurrection, civil commotion, or any violent or threatening actions;

c. Non system-wide and system-wide Transmission constraints and/or outages in the Transmission and Distribution System;

d. Any lawful orders rendered by competent authority, including any advice or warnings of government authorities for safety reasons; and

e. Other analogous circumstances.

Section 16. Amendment/Modification of Agreement. This Agreement, including the applicable Schedule with the GEOP End-User, constitutes the sole and entire agreement between the **PARTIES** and supersedes all previous arrangements or agreements in respect of the subject-matter of this Agreement. No amendments of this Agreement or the applicable Schedule with the GEOP End-User, or consent to any departure therefrom, shall in any way be of any force or effect unless confirmed in writing and signed by the **PARTIES**. If necessary, such amendment or departure shall be effective only upon approval by the ERC.

Section 17. Non-Waiver of Rights. The failure of any Party, at any time, to require performance of any provision hereof shall in no manner affect the right to enforce the same at a later time. No waiver by any Party of the breach of any term or covenant contained in this Agreement, whether by conduct or otherwise, shall be deemed to be construed as a further or continuing waiver of such breach or waiver of the breach of any other term or covenant, unless such waiver is in writing.

Section 18. Effectivity and Termination of Agreement. This Agreement shall be valid and binding to the **PARTIES** upon execution hereof unless terminated by either party by serving written notice to the other at least thirty (30) calendar days before the effective date of termination. It shall take effect on the earliest next regular meter reading date of the GEOP End-User as contained in the attached Schedule, after the execution date hereof**,** provided that such **GEOP End-User** has/have validly executed Connection Agreement/s with the **DU**.

This Agreement may likewise be terminated:

a) after due notice, for violation of any of the obligations set forth herein by any Party; and/or

b) without any need of prior notice:

i. under Section 4 (Eligibility for DWS), when the **GEOP End-User** is no longer eligible for DWS;

ii. when this Agreement is rendered invalid and/or unenforceable by law or competent authority;

iii. when the performance of any obligations under this Agreement has been rendered legally or physically impossible;

iv. in case of the **GEOP End-User's** failure to pay the bill deposit or the corresponding adjustment thereon; and

v. in case of violation of R.A. 7832 otherwise known as "*Anti-electricity and Electric Transmission Lines/Materials Pilferage Act of 1994*".

Upon termination or expiration of this Agreement, all rights and obligations of the **PARTIES** hereunder shall cease, except (a) such rights and obligations as may have accrued as of the date of termination or expiration, such as but not limited to payment of any outstanding bills; and (b) any right or obligation which survives the termination of this Agreement.

Section 19. Delivery of Notices. All notices, letters and/or communications shall be addressed to the following:

For the DU:

Name: _____
Mailing Address: _____
Phone Number: _____
Fax Number: _____
Email Address: _____
Billing Address: _____
(both electronic and postal)

For the GEOP End-User:

Name: _____
Mailing Address: _____
Phone Number: _____
Fax Number: _____
Email Address: _____
Billing Address: _____
(both electronic and postal)

Either Party may change the above information through written notice to the other Party.

Section 20. Warranties. Each Party hereby represents and warrants that: (a) it is [duly incorporated/a sole proprietorship/a partnership/a cooperative] validly existing and in good standing under the laws of the Republic of the Philippines; (b) it possesses full power and authority to enter into this Agreement, and has taken all the necessary action to authorize the person/s signing the contract on its behalf; (c) that it has taken all actions to authorize the entry into and the delivery of this Agreement, and the transactions contemplated hereby, and the performance of its obligations hereunder; (d) it has the power, licenses and permits required to carry on its business as it is being conducted and as proposed to be conducted; (e) this Agreement and the consummation of the transactions contemplated herein are its legal, valid, binding and enforceable obligations; and (f) it shall, in good faith, comply with all its obligations under this Agreement.

Section 21. Severability. If at any time, one or more provisions in this Agreement shall be determined to be illegal, invalid, or unenforceable in any respect, the legality, validity, and enforceability of the remaining provisions of this Agreement shall not be affected or impaired thereby, provided that the remaining provisions are sufficient to render to each Party the benefits contemplated hereby.

Section 21. Assignment of Rights. The **GEOP End-User** shall not assign its rights under this Agreement. In case of any change in its corporate name, or status brought about by merger, consolidation, amendment of articles of incorporation, sale of business or transfer of ownership, the **GEOP End-User** shall advise the **DU** of such fact in writing, within thirty (30) calendar days from the effective date thereof. Violation of this provision shall give the **DU** the right to terminate this Agreement, without prejudice to any action that the **DU** may bring for the collection of any outstanding obligation of the **GEOP End-User** to the **DU.**

Section 22. Disputes. If any dispute shall arise between the **PARTIES** in connection with or arising out of this Agreement**,** either party may request in writing to meet within five (5) business days from occurrence thereof and attempt to resolve the dispute. In the event that such dispute remains unresolved within ten (10) business days after such request, the aggrieved party may bring the dispute before the ERC for resolution, if said dispute is within the exclusive jurisdiction of the ERC. Otherwise, the aggrieved party may seek redress from the regular courts. In case of the latter, the **PARTIES** hereby agree that the venue for any court action shall be the regular courts of the principal address where the **DU** is located.

Section 23. Counterparts. This Agreement may be executed by the Parties in counterparts, each of which when so executed and delivered shall be an original, but all of which shall together constitute one and the same instrument.

Section 24. Non-waiver of Rights. The failure or delay of any Party, at any time, to require performance of any provision hereof shall in no manner affect the right to enforce the same at a later time. No waiver by any Party of the breach of any term or covenant contained in this Agreement, whether by conduct or otherwise, shall be deemed to be construed as a further or continuing waiver of such breach or waiver of the breach of any other term or covenant, unless such waiver is in writing.

IN WITNESS WHEREOF, the **PARTIES** hereto have caused the foregoing instrument to be executed by their respective officers and/or their representatives, thereunto duly authorized at the place and on the date first above written.

For the DU:	For the GEOP End-User:
Signature Over Printed Name and Designation	**Signature Over Printed Name and Designation**
Date signed:	Date signed:

SIGNED IN THE PRESENCE OF:

Witness Name, Signature Over Printed Name	Witness Name, Signature Over Printed Name

ACKNOWLEDGMENT

Republic of the Philippines }
_____} S.S.

Before me, a Notary Public, for and in the City of _____, personally appeared the following parties with their respective competent proof of identities:

DU
Valid government issued id

GEOP End-User
Valid government issued id

known to me and to me known to be the same persons who executed the foregoing instrument, consisting of ____ pages, including the page wherein this Acknowledgment is written, with all pages signed by both **PARTIES** and their instrumental witnesses, and they acknowledged to me that the same is their free and voluntary act and deed and that of the Corporation/DU they respectively represent.

IN WITNESS WHEREOF, I have hereunto set my hand and seal this _____ day of _____, at _____, Philippines.

Doc. No._____;
Page No._____;
Book No._____;
Series of _____.